*State of the Economy**

The global economy is confronting a fragile geopolitical environment and continuing trade-related uncertainties. Nevertheless, the domestic economy has demonstrated notable resilience to the ongoing global headwinds, characterised by buoyant domestic demand, and rising manufacturing and services activity. The south-west monsoon picked up in July after recording a deficit in June. While headline CPI inflation rose fractionally, reflecting food inflation; core inflation remained stable. Liquidity conditions eased, supporting credit growth and ongoing investment activity. Foreign capital inflows rebounded, reinforcing the external sector.

Introduction

The global economy is navigating through a fragile and uncertain environment shaped by geopolitical and trade-related uncertainties. The temporary ceasefire in West Asia proved to be short-lived, with occasional hostilities resuming in July. The West Asia conflict remains a challenge to the supply chains of oil and other key commodities, and is weighing on business confidence. The new US tariffs compounded the uncertainty to international trade. Despite this, the global economy is expanding, though with inflationary pressures.

Globally, equity markets gained in August, supported by the strong corporate performance of major technology companies. Emerging market equities recovered from their lows in July. Geopolitical tensions and the Federal Open Market Committee (FOMC) meeting decision drove an uptick in US 10-year treasury yield in July, and it rose further to an 18-month high by around mid-August. The US dollar index registered a steep fall post the FOMC announcement and continued to weaken thereafter. The flows to emerging market equities declined further in July, but increased overall on bond inflows. Inflation picked up in a few major economies, reflecting the rising energy and commodity prices. Central banks' policies remained divergent across economies but mostly vigilant to the inflation risks.

The Indian economy continued to display strength notwithstanding these headwinds. Domestic demand remained buoyant, as reflected by several indicators, including vehicle and tractor sales. Petroleum product consumption growth returned to positive territory, after three straight months of contraction. Industrial production strengthened sharply in June, recording its strongest growth in nearly two years, supported by a broad-based acceleration in manufacturing. The services sector also exhibited resilience.

Both merchandise exports and imports grew strongly in July 2026 with exports growing at a four-month high (in 2026-27 so far). Merchandise trade deficit widened in July, both sequentially and on a year-on-year (*y-o-y*) basis, reflecting a widening of deficit in electronic goods.

The pick-up in monsoon activity during July supported *kharif* sowing, taking it closer to the previous year's level. Backed by a high stock of public foodgrains, the government has also announced an Open Market Sales Scheme for the current financial year to augment supply.

The headline consumer price index (CPI) inflation increased marginally in July driven by 'food and beverages'. Core (CPI excluding food and

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fuel) inflation excluding precious metals remained moderate. The Monetary Policy Committee in August 2026, unanimously decided to keep the policy repo rate unchanged at 5.25 per cent. It also retained a "neutral" stance while waiting for more clarity amidst uncertain outlook.[1]

The Centre's fiscal deficit increased marginally during Q1:2026-27 as compared to the previous year accompanied by higher capital expenditure. The gross fiscal deficit of the states has been lower during the same period.

System liquidity improved in July and August. The liquidity surplus narrowed in the second half of July on account of tax outflows, but it went up in August on account of drawdown of the government cash balances and measures taken to attract capital inflows. Overnight money market rates softened towards end-July and August. While yields on 3-month treasury bills remained largely range-bound, those on commercial papers (CPs) and certificate of deposits (CDs) softened. The 10-year G-sec yields briefly hardened in July, reflecting renewed geopolitical tensions in West Asia, volatile crude oil prices, and higher US treasury yields. While the yields softened in early August, driven by robust capital inflows under the Reserve Bank's swap facilities, they subsequently reversed course and firmed up with rising crude oil prices.

Non-food credit growth continued to remain healthy. Indian equity markets gained in July and early August, supported by resilient corporate earnings and a rebound in net buying by foreign portfolio investors.

Net foreign direct investment (FDI) flows improved in June from the preceding month, supported by higher gross inflows. Foreign portfolio investment (FPI) witnessed sustained net inflows since June 2026. In July, foreign portfolio investors turned net buyers in equity segment, reversing four consecutive months of outflows. Net inflows under non-resident deposits improved during June as compared to the previous month, driven by an increase in Foreign Currency Non-Resident (Banks) [FCNR(B)] deposits on account of policy measures. India's foreign exchange reserves remain comfortable.

The remainder of the article is presented in four sections. Section II covers the evolving developments in the global economy. Section III provides an assessment of domestic macroeconomic conditions. Section IV presents the financial conditions prevailing in India, while Section V offers concluding observations.

II. Global Section

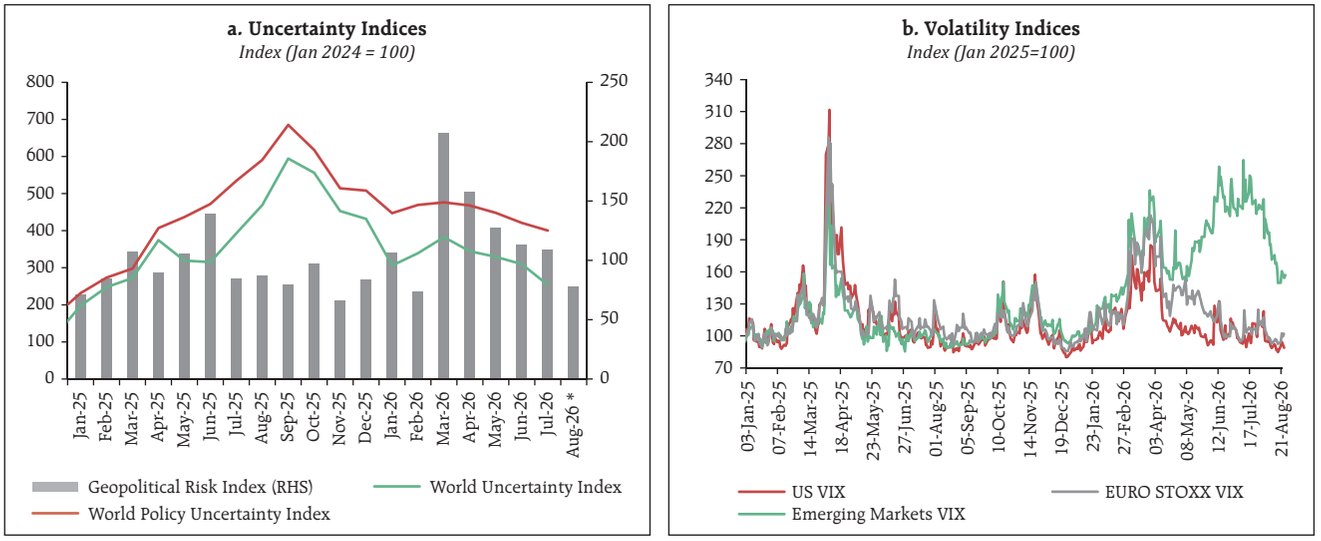
Global uncertainty has been moderating for the fourth consecutive month aided by the de-escalation of tension between the US and Iran. Geopolitical Risk Index has also fallen sharply (Chart II.1a). Financial market volatility eased in emerging market economies (EMEs) in August with the easing of crude oil prices. Volatility in advanced economies (AEs) also moderated in August underpinned by relatively stronger economic fundamentals. It, however, witnessed a marginal uptick in mid-August due to inflation concerns and uncertainty in West Asia (Chart II.1b).

Traffic through the Strait of Hormuz remained subdued and well below the pre-conflict levels amidst occasional collapse of the US-Iran peace agreement (Chart II.2).

Global output, as reflected by the composite PMI, continued to expand in July, with its strongest reading since the onset of West Asia conflict. Both manufacturing and services sectors registered

[1] Monetary Policy Statement, 2026-27 Resolution of the Monetary Policy Committee August, 2026

Chart II.1: Global Uncertainty and Supply Chain Pressures Moderated



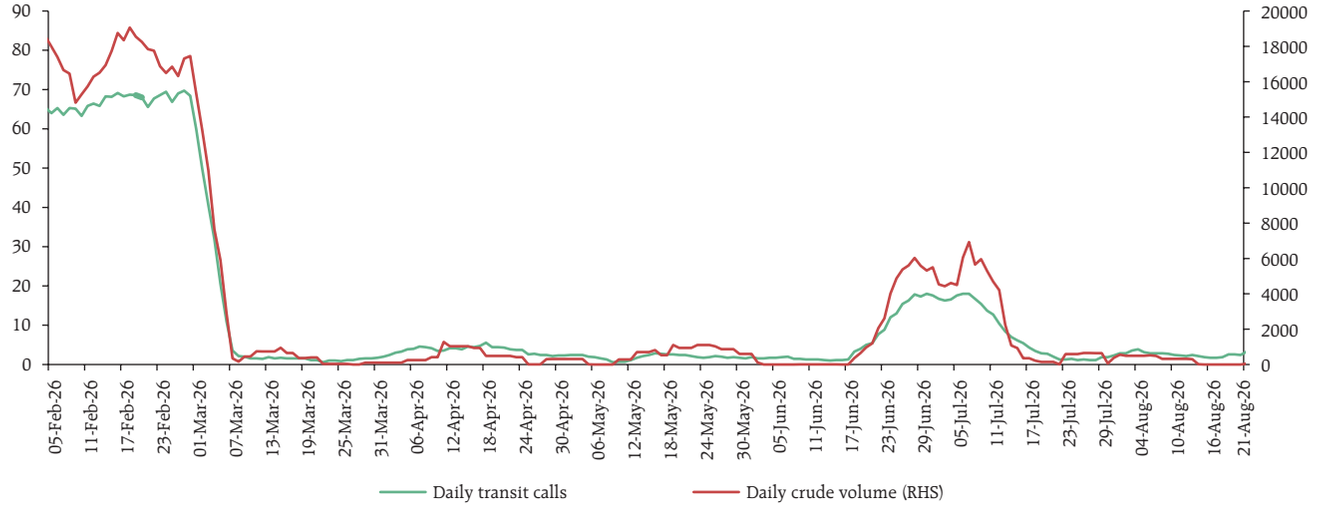
*: Data up to August 18.
Sources: Bloomberg; www.PolicyUncertainty.com; and World Uncertainty Index (WUI) database.

expansion with services sector outperforming marginally supported by resilient consumer spending. PMI export orders, however, continued to soften with new services export orders contracting for the fifth consecutive month (Table II.1).

The business activity expanded at a faster pace in AEs in July contrary to the earlier months, partly supported by services and equipment spending.[2] Despite sequential moderation, India and China outperformed other major EMEs (Chart II.3a). While

Chart II.2: Transit through Strait of Hormuz Remained Subdued

(Vessels per day, left scale; thousand barrels per day, right scale)



Note: 7-day moving average is taken for data on Strait of Hormuz Daily Transit calls and Crude volume.
Source: Bloomberg.

[2] "Global economic upturn led by advanced economies as emerging market expansion fades", S&P Global Market Intelligence, August 06, 2026 (Available at: https://www.spglobal.com/market-intelligence/en/news-insights/research/2026/08/global-economic-upturn-led-by-advanced-economies-as-emerging-market-expansion-fades)

Table II.1: Trends in Global Purchasing Managers' Indices

	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	Jul-26
PMI Composite	52.5	52.9	52.5	53	52.7	52	52.5	53.3	51	51.8	51.9	52	52.6
PMI Manufacturing	49.7	50.9	50.7	50.9	50.5	50.4	50.9	51.8	51.3	52.6	52.7	52.2	52.1
PMI Services	53.5	53.3	52.9	53.5	53.2	52.4	52.8	53.4	50.8	51.2	51.3	51.7	52.5
PMI Export Orders	48.5	48.9	49.7	48.5	49.9	49.3	49.7	51.2	49.6	49.6	48.9	49.2	49.6
PMI Export Orders: Manufacturing	48.2	48.7	49.5	48.3	49.9	49.1	49.9	51.4	50.0	50.2	49.6	49.4	50.0
PMI Export Orders: Services	49.4	49.3	50.2	49.4	50.2	49.6	48.9	50.5	48.3	47.6	46.6	48.3	48.2

50

<<<<<<Contraction----------Expansion>>>>>>

Notes: 1. The Purchasing Managers' Index (PMI), a diffusion index, captures the change in each variable compared to the prior month, noting whether each has risen/improved, fallen/deteriorated or remained unchanged. A PMI value >50 denotes expansion; <50 denotes contraction; and =50 denotes 'no change'.

2. Heat map is applied on data from April 2023 onwards. The map is colour coded–red denotes the lowest value, yellow denotes 50 (or the no change value), and green denotes the highest value in each of the PMI series.

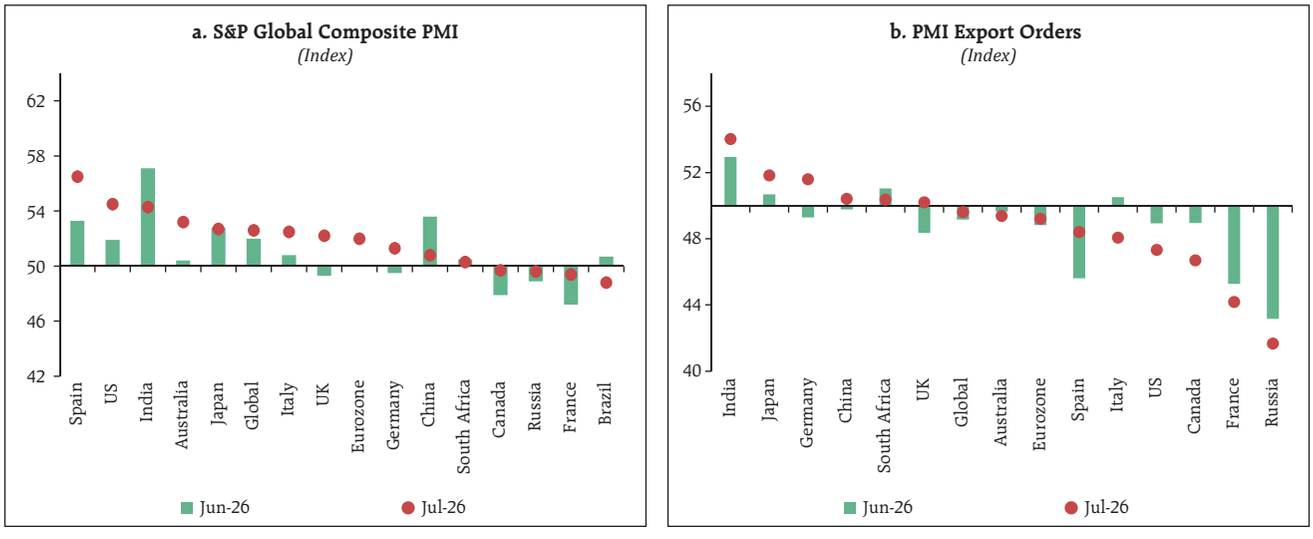
Source: S&P Global.

new export orders remained subdued in the US and Eurozone, it expanded in the UK and Japan among AEs and China, India, and South Africa within EMEs (Chart II.3b).

Commodity prices exhibited mixed trend in July. Volatile brent crude futures reflected fast evolving geopolitical developments with futures prices firming up in August (Chart II.4a). Low global oil inventories and pick-up of Chinese imports also contributed to the pressure on prices (Chart II.4b).[3]

The Food and Agriculture Organisation's (FAO) Food Price Index edged up in July, driven by sugar, cereals, and vegetable oils, offsetting the decline in

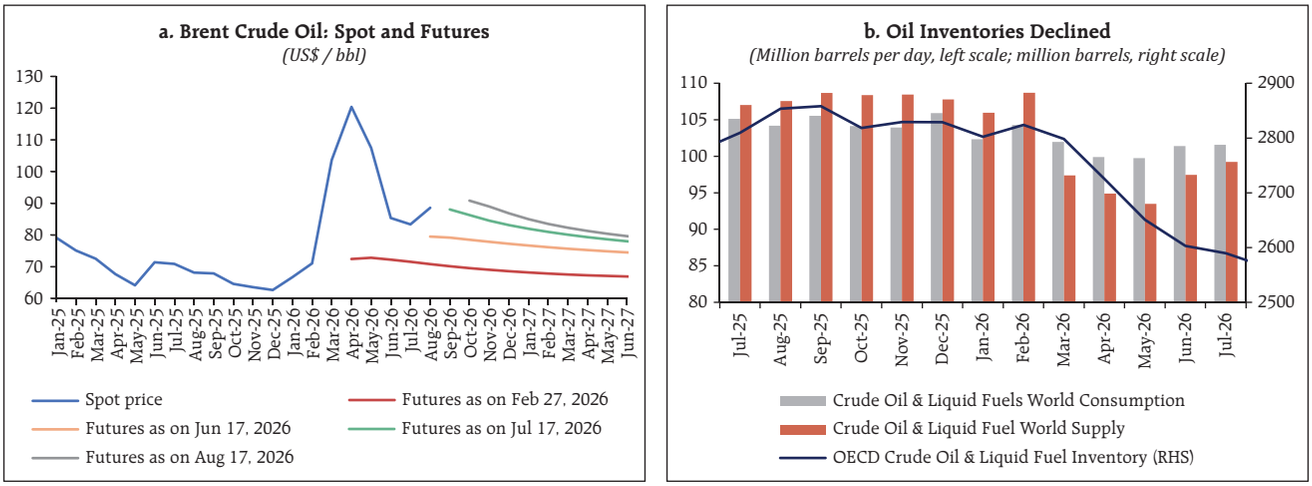
Chart II.3: Purchasing Managers' Index: Comparison across Jurisdictions



Note: A level of 50 indicates no change in activity, while a reading above 50 signals expansion and below 50 suggests contraction.
Source: S&P Global.

[3] Following a period of reduced purchases after the onset of the West Asia conflict, China's crude oil imports increased in July, with higher purchases from Middle Eastern and African suppliers contributing to the upward pressure on crude oil prices.

Chart II.4: Brent Crude Oil

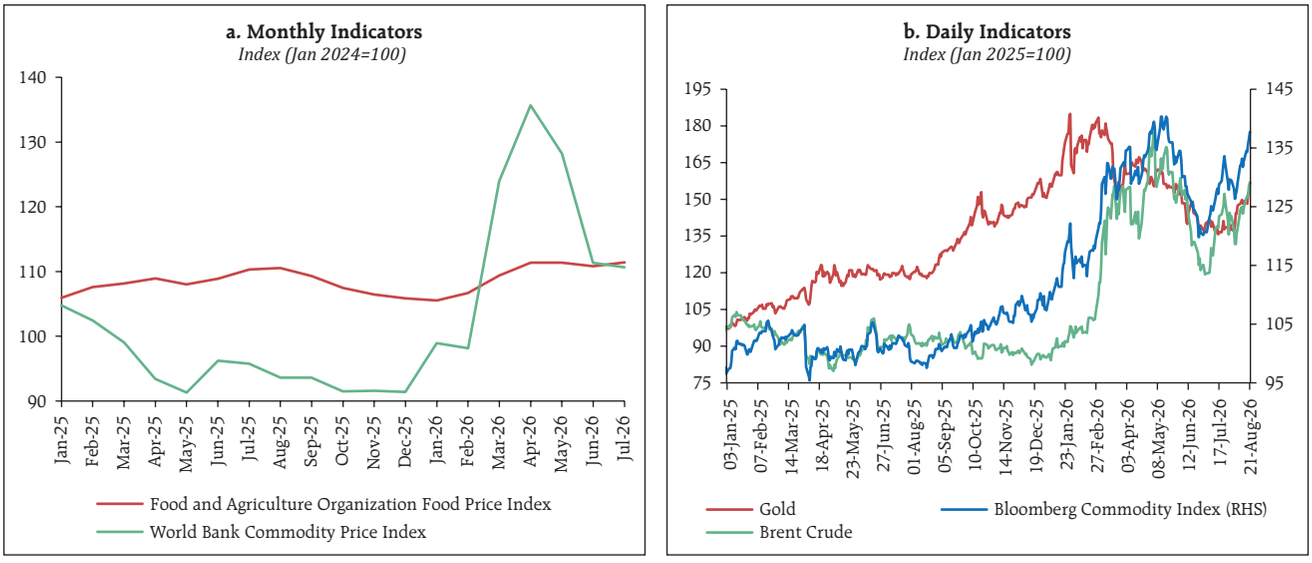


Note: The monthly world oil supply and consumption figures (mb/d) represent the average daily supply and consumption during the month. Inventory (million barrels) represents the stock level at month-end.
Sources: Bloomberg and U.S. Energy Information Administration (EIA).

meat and dairy prices. The World Bank Commodity Price Index, however, moderated, reflecting lower metals and fertiliser prices. Gold price declined in July alongside a stronger US dollar and elevated US treasury yields. However, it rose subsequently in August (till 20th) following weaker-than-expected US non-farm payroll data and lower expectations of Fed rate hikes (Chart II.5a and b).

Following renewed tensions in West Asia, aluminium prices increased in early-August due to constrained supply and low inventories. Aluminium prices fell sharply later during the month after

Chart II.5: Commodity Prices Eased



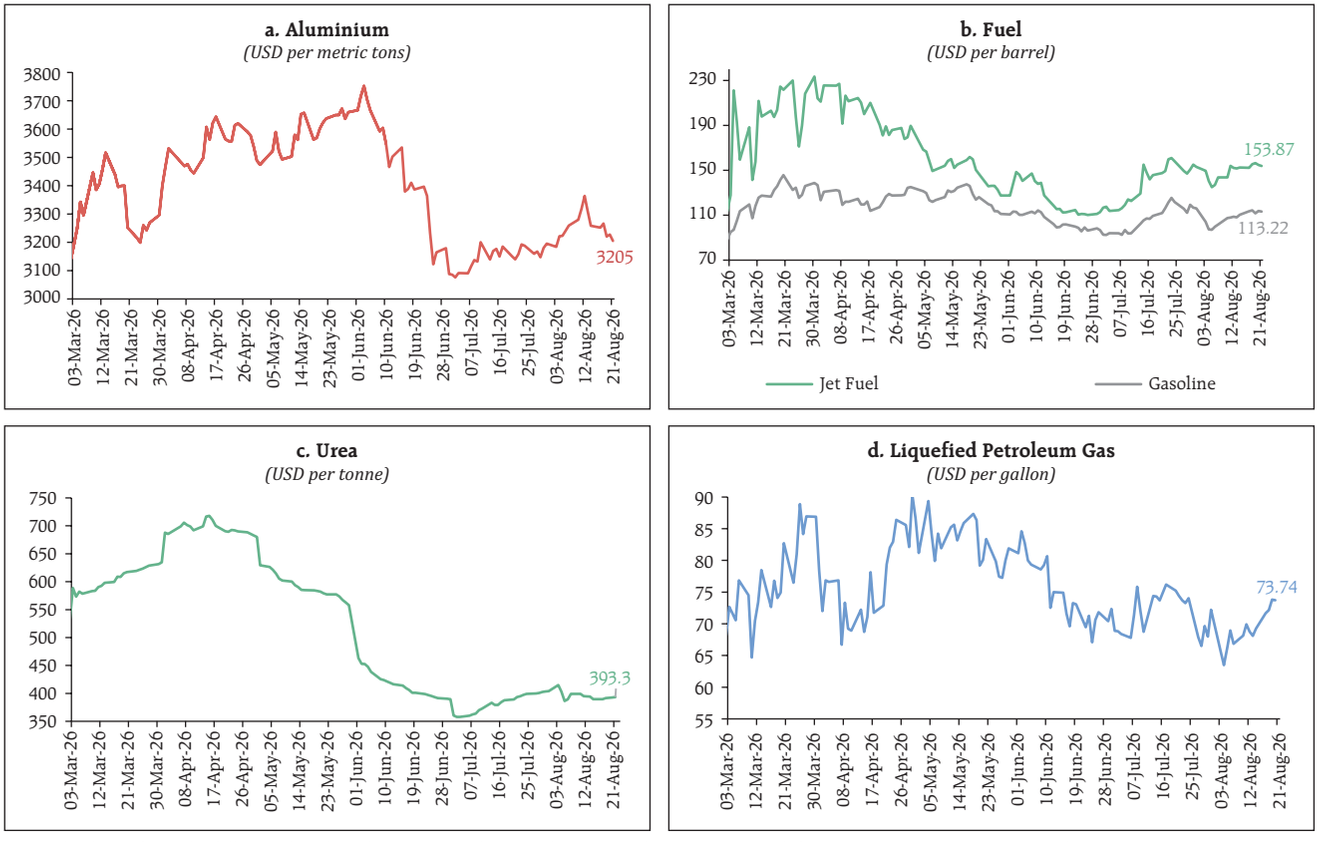
Sources: Food and Agriculture Organization; Bloomberg; and World Bank Pink Sheet.

reaffirmation of restoration of smelting capacity by Gulf producers (Chart II.6a). Jet fuel prices also stayed elevated due to reduced refinery production from major gulf-region and Asian jet fuel exporters (Chart II.6b).[4] Urea prices rose in July amidst renewed supply fears but moderated in August (Chart II.6c). Global LPG prices remained volatile with US Gulf coast trade flows, West Asia trade route disruptions and crude oil price movements shaping the market sentiments (Chart II.6d).

Inflation across major AEs and EMEs remained above target in July. Among major AEs, inflation in the UK edged up on account of housing and household services; and in Japan due to higher energy prices. Inflation in the US softened for the second consecutive month as gasoline and fuel prices declined. In the Euro area, inflation reaccelerated, driven by higher energy prices and persistently elevated services inflation (Chart II.7a). Among EMEs, inflation remained stable in Russia and marginally softened in Brazil owing to lower food and beverages and housing prices. In China, easing gasoline and commodity prices contributed to further decline in inflation in July. In South Africa, it moderated due to lower food and fuel prices (Chart II.7b).

Equity markets in major AEs remained volatile in July, with sentiments being driven by uncertainty surrounding the West Asia conflict, changing

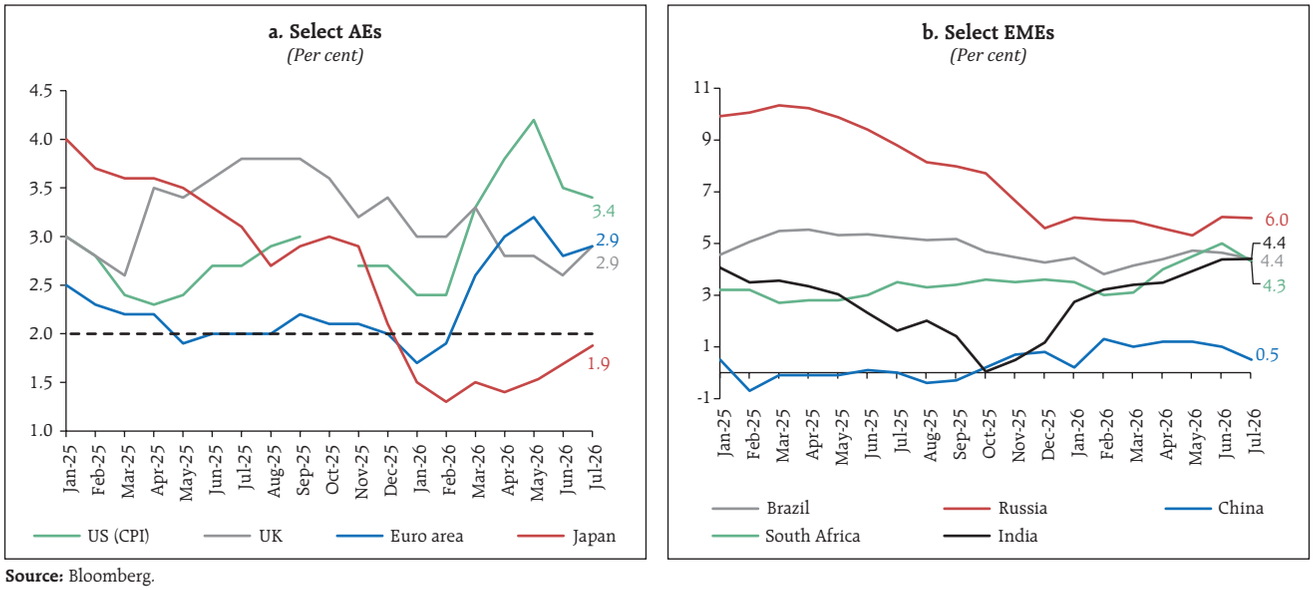
Chart II.6: Select Commodity Prices Recorded Uptick in August



Note: The data refer to the following benchmark contracts and price indices: LME Aluminium 3-month futures; Singapore Jet Kerosene and Singapore Gasoline spot prices; Urea US Gulf futures; and Mont Belvieu Propane Fixed Price futures (LPG).
Source: Bloomberg.

[4] "What could rising fuel costs mean for airlines?", McKinsey & Company, June 2026. (Available at: https://www.mckinsey.com/industries/travel/our-insights/what-could-rising-fuel-costs-mean-for-airlines)

Chart II.7: Headline Inflation across Major AEs and EMEs



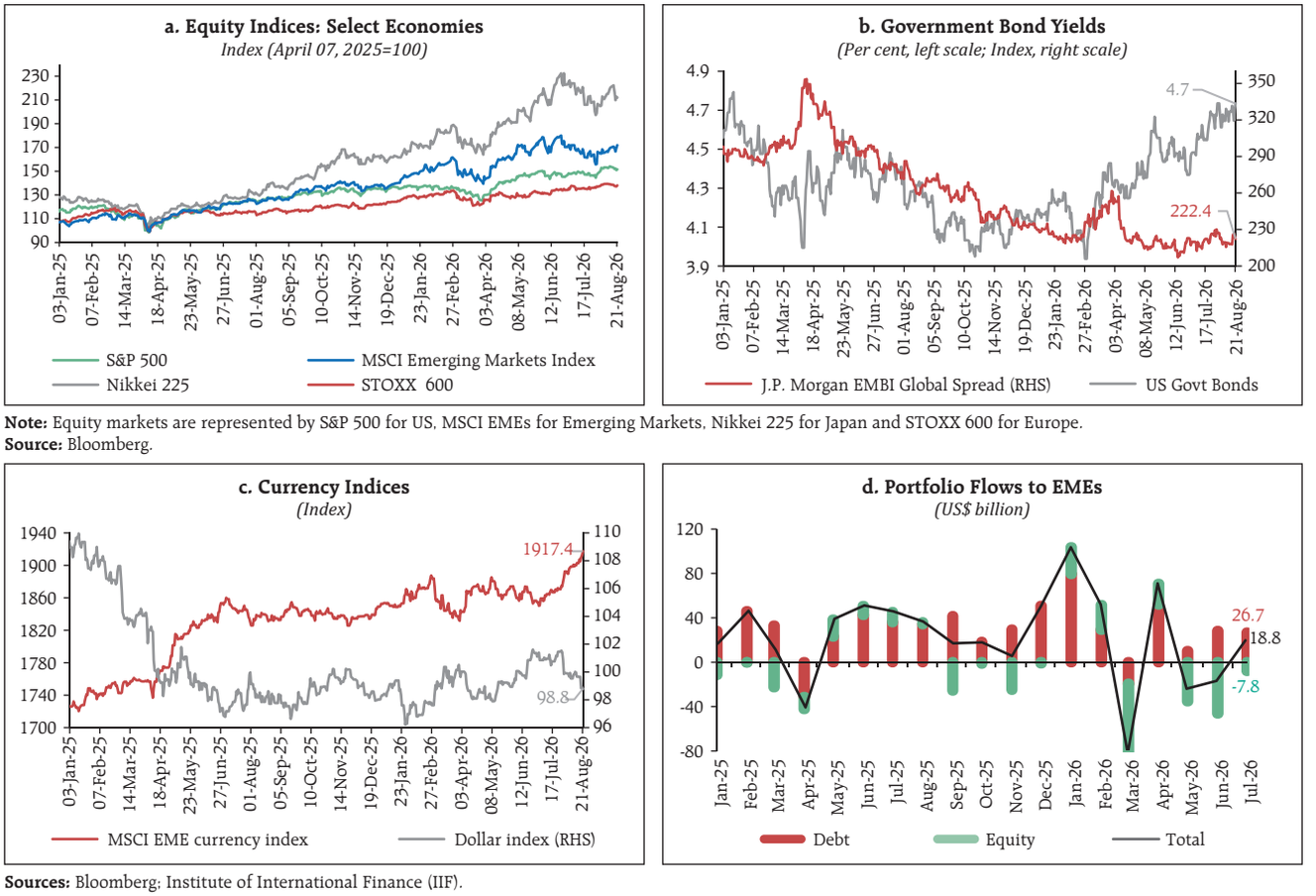
Source: Bloomberg.

expectations of monetary policy, and developments around technology stocks. The S&P 500 witnessed some selling pressure in technology stocks in early July; however, strong corporate earnings from major technology companies subsequently eased concerns. The index rose in August as weaker-than-expected non-farm payroll data and lower inflation print reduced expectations of tighter monetary policy. Euro area equities maintained their strength and followed the US equities in August, supported by gains across industrial, financial and defence stocks. The Nikkei 225 declined in July amidst concerns over the weakness in yen and rising government debt. Nevertheless, coordinated US-Japan measures to support the yen helped stabilise market sentiment, with equities recovering in August. Emerging market equities declined in July due to rising crude oil prices and portfolio outflows. During August (till 21st), a weaker US dollar and reduced expectations of US rate hikes helped emerging market equities, leading to a modest recovery. In the latter half of August, equities accross the globe, however, declined on account of rising long term sovereign bond yields (Chart II.8a).

Geo-political tensions and the Federal Open Market Committee (FOMC) meeting decision drove the uptick in US 10-year treasury yield in July, and it rose further to an 18-month high by around mid-August (Chart II.8b). The US dollar index registered a steep fall post the FOMC announcement and continued to weaken thereafter (Chart II.8c). Foreign investors continued to reduce their exposure to emerging market equities, which was more than offset by inflows into emerging market debt securities in July (Chart II.8d).

Central banks' policies remained divergent but vigilant to address inflation in July and August (till 21st) (Chart II.9). In July, New Zealand and South Korea increased their benchmark interest rates responding to rising inflationary pressures, whereas, the US, the UK, the Euro area, Canada and Japan held their policy rates steady. Among EMEs, China, Indonesia, Malaysia and South Africa maintained *status quo* while Russia reduced its key rate. In August so far (till 21st), Australia and Sweden kept their benchmark interest rates unchanged citing inflationary risks. Within EMEs, Mexico and China held the rates steady. Brazil reduced its policy rate citing a deceleration in economic activity combined with heightened uncertainty in global economic environment.

Chart II.8: Global Financial Markets



Note: Equity markets are represented by S&P 500 for US, MSCI EMEs for Emerging Markets, Nikkei 225 for Japan and STOXX 600 for Europe.
Source: Bloomberg.

Sources: Bloomberg; Institute of International Finance (IIF).

Chart II.9: Divergence in Major Central Banks Policy Actions in July and August

Type	Countries	Jan-25	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	Jul-26	Aug-26 (till 21st)
Advanced Economies	Australia																				
	Canada																				
	Euro area																				
	Japan																				
	New Zealand																				
	South Korea																				
	Sweden																				
	Switzerland																				
	United Kingdom																				
	United States																				
Emerging Market Economies	Brazil																				
	China																				
	India																				
	Indonesia																				
	Malaysia																				
	Mexico																				
	Philippines																				
	Russia																				
	Saudi Arabia																				
	South Africa																				
	Thailand																				

Rate change	< -0.75	-0.75 to -0.50	-0.50 to -0.25	-0.25 to <0	0 (No change)	>0 to 0.25	0.25 to 0.50	0.50 to 0.75	> 0.75
Colour									

Note: White-coloured blocks indicate an off-policy month.
Source: Bloomberg.

III. Domestic Developments

High-frequency indicators for July reflected strong economic activity and domestic demand. Corporate results revealed that the operating profit growth of manufacturing and services companies improved during Q1:2026-27.

Based on high-frequency indicators, industrial and services activity remained resilient in July despite the geopolitical tensions in West Asia.

The Monetary Policy Committee (MPC), in its review of August 2026, voted unanimously to keep the policy repo rate unchanged at 5.25 per cent. The MPC continued with the neutral stance emphasising the need to wait for greater clarity amidst uncertainties regarding southwest monsoon, geopolitics, and global trade policy.[5] The retail inflation in Q1:2026-27 has reflected limited pass-through of cost pressures, while growth remained resilient.

Aggregate Demand

High-frequency indicators continued to reflect buoyant economic activity in July. Goods and Services Tax (GST) revenue growth strengthened, driven by robust growth in tax revenue from imports, while domestic collections also recorded healthy growth.[6] GST E-way bill generation indicated steady goods movement in July 2026. Growth in petroleum consumption rebounded, after contracting in the preceding three months, led by petrol and diesel, although aviation turbine fuel consumption remained subdued. Delayed monsoons and high humidity drove a surge in cooling needs, leading to sustained growth in electricity demand. The monthly volume of toll transactions continued to soften with the adoption of the FASTag Annual Pass.[7] Digital payments registered robust growth in value, though the growth in transaction volume moderated largely due to base effect (Table III.1).[8]

Table III.1: Buoyant Overall Economic Activity

Indicator	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	Jul-26
GST E-way bills (Volume)	25.8	22.4	21.0	8.2	27.6	23.5	15.8	18.8	12.9	11.8	10.9	14.5	6.0
GST revenue	8.2	6.9	10.0	7.6	0.7	6.1	6.2	8.1	8.8	8.7	3.2	13.9	15.4
Toll collection (Volume)	14.8	12.7	4.5	4.6	2.9	0.4	-1.8	-8.7	-4.0	-6.4	-7.2	-6.3	-6.3
Electricity demand (Volume)	2.6	3.8	3.5	-5.8	-0.6	5.8	3.8	1.0	0.8	3.0	10.8	10.8	10.7
Total consumption of petroleum products (Volume)	-4.4	4.8	7.0	-1.5	0.6	4.5	0.3	4.5	3.2	-6.5	-8.1	-3.5	2.9
Of which Petrol	5.9	5.5	8.0	7.4	2.6	7.1	6.1	6.1	7.6	6.8	3.4	7.5	9.2
Diesel	2.3	1.2	6.5	-0.3	4.8	5.2	3.3	4.3	8.1	0.8	1.6	6.2	10.0
Aviation turbine fuel	-2.3	-2.9	-0.8	2.1	5.4	0.2	5.5	4.0	0.6	-0.1	1.0	0.0	-0.6
Digital Payments – Volume	30.9	31.1	28.1	21.5	30.2	26.8	25.4	23.5	21.0	22.3	21.3	21.7	16.6
Digital Payments – Value	16.6	5.3	13.4	8.8	14.7	15.2	11.3	17.9	12.6	14.4	10.8	20.2	18.2

<<Contraction ---------- Expansion>>

Notes: 1. The *y-o-y* growth (per cent) has been calculated for all indicators.
2. The heatmap is applied on data from April 2023 to the latest month for which data is available.
3. Gross GST revenue includes three components- IGST, CGST, and SGST.
4. For digital payments, heatmap is applied on data from April 2024 to the latest month for which data is available.
5. Digital payments data for July 2026 are provisional.
6. The heatmap translates the data range for each indicator into a colour gradient scheme with red denoting the lowest values and green corresponding to the highest values of the respective data series.

Sources: Goods and Services Tax Network; RBI; Central Electricity Authority; National Payments Corporation of India; and Ministry of Petroleum and Natural Gas.

[5] Monetary Policy Statement, 2026-27 Resolution of the Monetary Policy Committee August, 2026
[6] GST collections from imports grew at 28.8 per cent (*y-o-y*), while domestic GST revenue growth stood at 10.1 per cent (*y-o-y*) in July 2026.
[7] The annual pass allows users to make up to 200 trips in a year at a fixed fee, reducing per-trip toll revenue across plazas.
[8] UPI has 92 per cent share in volume terms, which moderated to 21.5 per cent (*y-o-y*) in July 2026 from 23.5 per cent (*y-o-y*) in the previous month.

Domestic demand remained strong in July, supported by rural demand. Retail automobile sales accelerated, led by stronger tractor and two-wheeler sales, reflecting sustained rural consumption and mobility demand. Urban demand also remained firm, with passenger vehicle sales maintaining high growth. Domestic air passenger traffic, however, declined further in July, partly reflecting capacity rationalisation by major aviation carriers and elevated aviation turbine fuel costs (Table III.2).

Labour market conditions softened in Q1:2026-27.[9] The labour force participation rate and worker population ratio under the current weekly status (CWS) declined while the unemployment rate increased driven by rural areas.[10] However, there was an increase in the share of regular salaried jobs, particularly in the secondary and tertiary sectors.[11]

In July, the all-India unemployment rate (based on CWS) fell, with a decline in the rural unemployment rate.[12] The labour force participation rate and worker-population ratio increased as compared to previous month in both rural and urban areas.[13] In July, Naukri JobSpeak Index reflected some moderation in white collar hiring - primarily evident in the education, hospitality, and pharma sector. PMI employment continued to remain in expansion with notable increase observed in the services sector. Demand for work under the Viksit Bharat–Guarantee for Rozgar and Ajeevika Mission (Gramin) (VB-G RAM G)[14] declined sharply in July (Table III.3).

Government Finances

The Central Government's gross fiscal deficit (GFD) as per cent of the full year budget estimates (BE) increased marginally during Q1:2026-27 *vis-à-vis*

Table III.2: High Frequency Indicators- Resilient Demand Conditions

	Indicator	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	Jul-26
Urban demand	Domestic air passenger traffic	-2.5	-0.5	-2.5	3.5	7.0	-4.9	3.1	-0.1	-1.3	-2.8	7.7	-1.2	-4.8
	Retail passenger vehicle sales	5.6	0.9	5.8	10.7	20.4	26.6	7.2	26.1	21.5	18.1	23.2	32.6	19.1
Rural demand	Retail automobile sales	0.3	2.8	5.2	40.5	2.1	14.6	17.6	25.6	25.3	17.4	9.5	23.6	25.9
	Of which Retail tractor sales	14.6	30.1	3.6	14.2	56.5	15.8	22.9	36.4	10.9	28.7	11.2	30.1	28.1
	Retail two- wheeler sales	-2.2	2.2	6.5	51.8	-3.1	9.5	20.8	25.0	28.7	17.2	7.5	22.1	28.3

<<Contraction ---------- Expansion>>

Notes: 1. The *y-o-y* growth (in per cent) has been calculated for all indicators based on volume.
2. The heatmap is applied on data from April 2023 to the latest month for which data is available.
3. The heatmap translates the data range for each indicator into a colour gradient scheme with red denoting the lowest values and green corresponding to the highest values of the respective data series.
4. The data on domestic air passenger traffic for July 2026 growth rate is calculated by aggregating daily data.
5. Data for retail automobile sales consists of sales of two wheelers, three wheelers, passenger vehicles, tractors, and commercial vehicles.

Sources: Airports Authority of India; and Federation of Automobile Dealers Associations (FADA).

[9] PLFS Quarterly Bulletin, Apr-Jun 2026, released on Aug 11, 2026.

[10] The labour force participation rate and worker population ratio declined to 54.6 per cent and 51.7 per cent, respectively, in Q1:2026-27 from 55.5 per cent and 52.8 per cent, respectively, in Q4:2025-26. The unemployment rate increased to 5.4 per cent in Q1:2026-27 from 5 per cent in Q4:2025-26.

[11] Share of regular salaried employment increased from 25.5 per cent in Q4:2025-26 to 26.2 per cent Q1:2026-27. The share of secondary sector in total employment increased from 25.2 per cent to 26.7 per cent, while that of tertiary sector increased from 33.7 per cent to 34.6 per cent during the same period.

[12] PLFS Monthly Bulletin, July 2026.

[13] Overall, the labour force participation rate (LFPR) and worker population ratio (WPR) increased from 54.4 per cent and 51.4 per cent, respectively, in June 2026 to 55.4 per cent and 52.5 per cent in July 2026.

[14] Viksit Bharat Guarantee for Rozgar and Ajeevika Mission (Gramin) (VB-G RAM G) Act, 2025, which replaces the Mahatma Gandhi National Rural Employment Guarantee Act (MGNREGA), 2005, came into effect from July 01, 2026.

Table III.3: Robustness in High Frequency Indicators for Employment

Indicator	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	Jul-26
Unemployment rate (PLFS: All-India)	5.2	5.1	5.2	5.2	4.7	4.8	5.0	4.9	5.1	5.2	5.5	5.5	5.1
Unemployment rate (PLFS: Rural)	4.4	4.3	4.6	4.4	3.9	3.9	4.2	4.2	4.3	4.6	5.1	5.0	4.5
Unemployment rate (PLFS:Urban)	7.2	6.7	6.8	7.0	6.5	6.7	7.0	6.6	6.8	6.6	6.4	6.6	6.7
Naukri JobSpeak Index	6.8	3.4	10.1	-9.3	23.5	13.2	3.4	11.9	9.2	5.8	1.0	6.1	5.0
PMI Employment: Manufacturing	53.3	53.1	52.1	52.4	50.9	50.5	51.1	51.5	52.6	54.6	53.0	50.8	50.3
PMI Employment: Services	51.4	52.2	51.9	51.4	51.6	49.8	50.8	51.6	52.7	53.4	53.2	50.3	52.4
VB-G RAM G/MGNREGS: Work Demand	-12.3	-26.2	-27.1	-35.1	-32.0	-28.9	-25.7	-14.1	-23.2	-35.5	-27.8	-18.5	-39.2

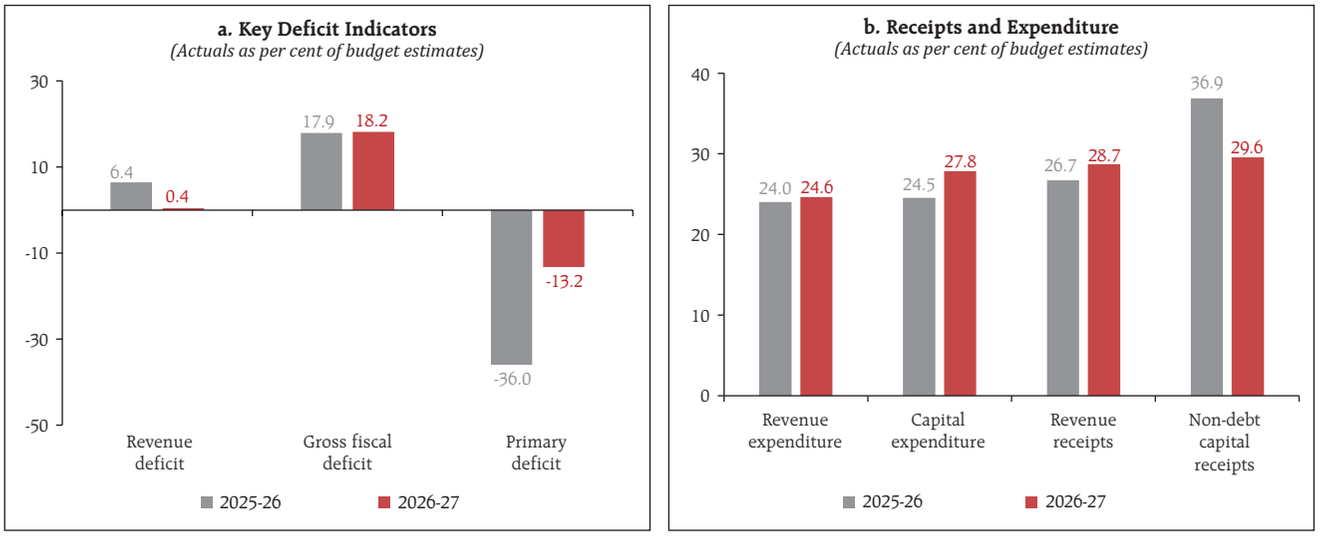
<<Contraction ---------- Expansion>>

Notes: 1. All PLFS indicators are in the current weekly status and for people aged 15 years and above.
2. The *y-o-y* growth (in per cent) has been calculated for the *Naukri* index and VB-G RAM G/MGNREGS work demand.
3. The heatmap is applied to data from April 2023 to July 2026.
4. The heatmap for PLFS unemployment rate is applied to data from April 2025 to July 2026.
5. The heatmap translates the data range for each indicator into a colour gradient scheme with red denoting the lowest values and green corresponding to the highest values of the respective data series.
6. All PMI values are reported in index form. A PMI value >50 denotes expansion, <50 denotes contraction and =50 denotes 'no change'. In the PMI heatmaps, red denotes the lowest value, yellow denotes 50 (or the no change value), and green denotes the highest value in each of the PMI series.
7. PLFS unemployment rate and VB-G RAM G/MGNREGS are encoded in inverse scale- lowest is marked in green, highest is marked in red.

Sources: Ministry of Statistics and Program Implementation, Ministry of Rural Development, Info Edge and S&P Global.

the corresponding period of the previous financial year.[15] The higher fiscal deficit during Q1:2026-27 was primarily on account of continued double-digit growth in capital expenditure.[16] Revenue account, on the other hand, recorded narrowing of deficit driven by robust net tax collections (Chart III.1a & b).[17] Under

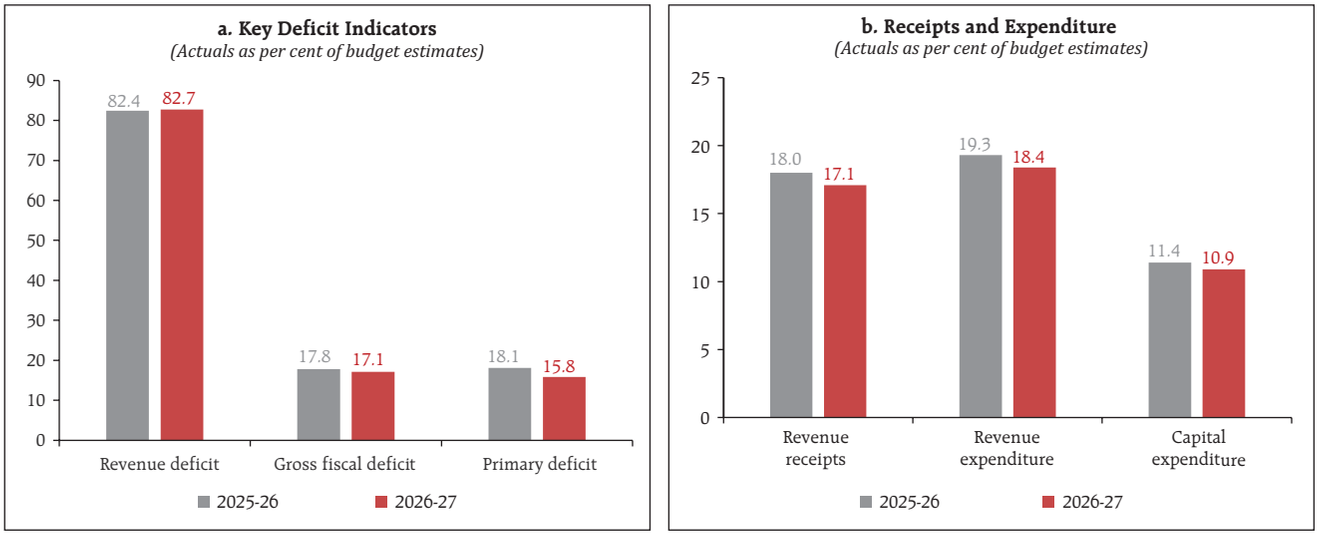
Chart III.1: Major Fiscal Indicators of the Centre during Q1:2026-27



Note: Negative deficit indicates surplus.
Sources: Controller General of Accounts (CGA); and Union Budget Documents.

[15] As per the latest data released by the Controller General of Accounts (CGA).
[16] During Q1:2026-27, capital expenditure grew (*y-o-y*) by 23.7 per cent, as compared to growth of 52.0 per cent, in the corresponding period of the previous year.
[17] During Q1:2026-27, revenue receipts recorded a growth rate (*y-o-y*) of 11.0 per cent as compared to a growth rate of 10.1 per cent in Q1:2025-26. Net tax revenue recorded a growth rate (*y-o-y*) of 17.8 per cent as compared to a growth rate (*y-o-y*) of (-)1.7 per cent in the corresponding period of the previous year. Notably, corporation tax collections and custom duties grew (*y-o-y*) by 19.7 per cent and 36.1 per cent, respectively, as compared to growth of (-)1.2 per cent and (-)9.9 per cent, respectively, in the corresponding period of the previous year.

Chart III.2: Key Fiscal Indicators of the States during Q1:2026-27



Note: Data pertain to 26 States/UTs.
Source: Comptroller and Auditor General of India.

revenue expenditure, while major subsidies grew, interest payments contracted.[18]

The key deficit indicators of the State Governments as per cent of BE also displayed mixed pattern during Q1:2026-27 (Chart III.2a). The consolidated GFD of the States, as a proportion of BE, was slightly lower than the same period last year, driven by both lower revenue as well as capital expenditures (Chart III.2b). Revenue receipts displayed moderation amidst a fall in grants from the Centre while robust growth in State GST collections along with healthy increase in state excise duties, sales tax, stamp duties and registration fees provided support.

Trade

Both merchandise exports and imports recorded a double-digit growth in July 2026 (*y-o-y*) with exports growing at a four-month high (in 2026-27 so far) driven by sectors like petroleum products, electronic goods, engineering goods, and organic and inorganic chemicals.[19,20] However, exports of gems and jewellery, readymade garments of all textiles, and leather and leather products contracted. Destination-wise, export growth was broad-based with exports to the US expanding at double-digit rate after seven months.[21] The growth in imports was driven by commodities such as electronic goods, petroleum, crude and products, and fertilisers.[22] Gold imports

[18] During Q1:2026-27, major subsidies (food, fertiliser and petroleum) and interest payments grew (*y-o-y*) by 37.4 per cent and (-)10.3 per cent, respectively, as compared to growth of (-)7.3 per cent and 46.2 per cent, respectively, in the corresponding period of the previous year. Overall, revenue expenditure grew (*y-o-y*) by 7.4 per cent in Q1:2026-27, as compared to the growth of 20.0 per cent in the corresponding period of the previous year.

[19] Merchandise exports rose by 19.6 per cent (*y-o-y*) to US$ 44.2 billion in July 2026 from US$ 37.0 billion in July 2025. Merchandise imports increased by 17.5 per cent (*y-o-y*) to US$ 76.2 billion in July 2026 from US$ 64.9 billion in July 2025.

[20] In July 2026, 15 out of 30 commodities contributed to export growth, with growth of 67.6 per cent (*y-o-y*) in petroleum products, 57.4 per cent (*y-o-y*) in electronic goods, 17.7 per cent (*y-o-y*) in engineering goods, and 14.4 per cent (*y-o-y*) in organic and inorganic chemicals. Exports contracted in segments such as gems and jewellery (2.7 per cent *y-o-y*), readymade garments of all textiles (4.5 per cent *y-o-y*), ceramic products and glassware (16.4 per cent *y-o-y*), and leather and leather products (5.6 per cent *y-o-y*).

[21] Exports expanded in 16 out of 20 major destinations. Exports to the US rebounded and witnessed 12.9 per cent growth (*y-o-y*) in July 2026. Exports to the US displayed contraction during September 2025 to March 2026 (barring November 2025) and remained broadly flat thereafter during April-June 2026.

[22] In July 2026, 23 out of 30 major commodities contributed positively to import growth. Imports of electronic goods grew by 46.0 per cent (*y-o-y*), petroleum, crude and products grew by 17.6 per cent (*y-o-y*), and fertilisers expanded by 55.4 per cent (*y-o-y*). Imports from 13 out of 20 major import partners expanded in July 2026.

registered the lowest growth in 2026-27 so far, while silver imports contracted for the third consecutive month, likely reflecting the impact of import duty hike in May 2026.[23]

India's merchandise trade deficit widened both over the year as well as over the preceding month (Chart III.3).[24] The higher deficit was driven by electronic goods, while oil deficit remained unchanged.[25]

The US Section 301 tariffs that imposed an additional 10 per cent tariff on India came into effect on July 24, 2026. However, India's major export commodities to the US, such as smartphones, petroleum products and pharmaceuticals, remain outside its purview. India is likely to be less affected than some of the Asian economies in the US market, such as China, Vietnam and Thailand.[26]

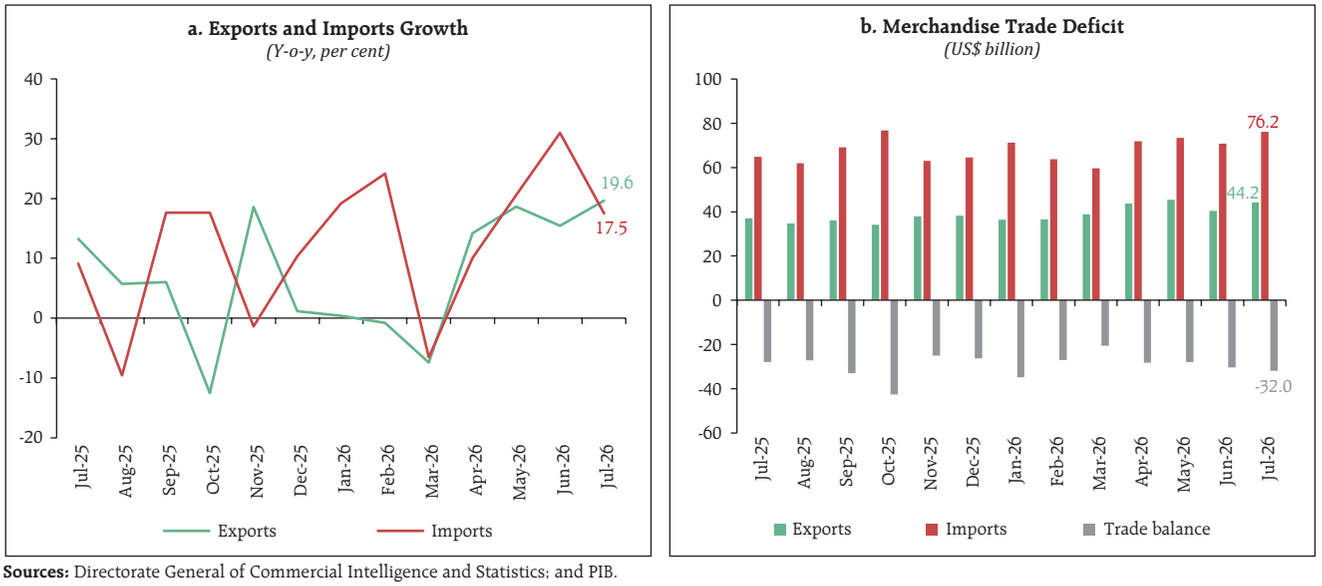
Net services exports grew at a healthy pace in June 2026, although imports grew at a faster pace than exports (Chart III.4).[27] The growth in services exports in June 2026 was primarily driven by software and business services, while transport, business, and travel services supported the growth in services imports.

Aggregate Supply

Agriculture

The monsoon activity picked up in July after a deficit in June.[28] Spatially, all four regions have been witnessing deficit rainfall (Chart III.5a). With increased rainfall in July, the all-India reservoir storage stood close to its decadal average and higher than the level during preceding

Chart III.3: Robust Export and Import Growth in July 2026



Sources: Directorate General of Commercial Intelligence and Statistics; and PIB.

[23] In value terms, gold imports grew by 4.8 per cent (*y-o-y*) to US$ 4.2 billion in July 2026 from US$ 4.0 billion in July 2025. Silver imports contracted by 66.1 per cent (*y-o-y*) during the same period.

[24] India's merchandise trade deficit widened to US$ 32.0 billion in July 2026 from US$ 27.9 billion a year ago and US$ 30.4 billion in June 2026.

[25] Electronic goods deficit widened to US$ 8.4 billion in July 2026 from US$ 6.1 billion in July 2025, while oil deficit remained unchanged at US$ 11.4 billion during this period.

[26] China, Vietnam and Thailand face an additional 12.5 per cent tariff under US Section 301 tariffs.

[27] Net services exports grew by 10.4 per cent (*y-o-y*) to US$ 17.9 billion in June 2026. During Q1:2026-27, net services exports increased to US$ 52.2 billion from US$ 47.9 billion previous year.

[28] The cumulative rainfall deficit declined from 38 per cent at end-June to 13 per cent at end-July.

Chart III.4: Services Exports Recorded Robust Growth in June 2026

(Y-o-y, per cent)



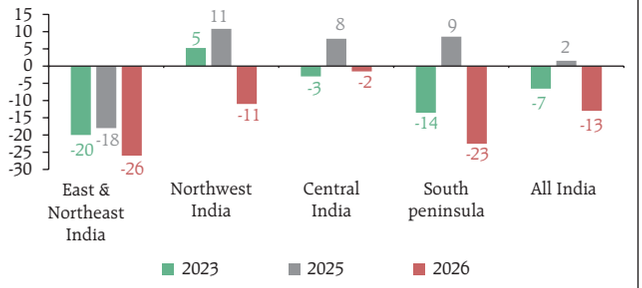
Source: RBI.

El Niño year of 2023 (Chart III.5b). The temporal progress of *kharif* sowing in the current year has been better *vis-à-vis* 2023 (Chart III.5c).[29] The India Meteorological Department (IMD) has a below normal

Chart III.5: Downside Risks to Agriculture Production Ebbed

a. Southwest Monsoon Rainfall

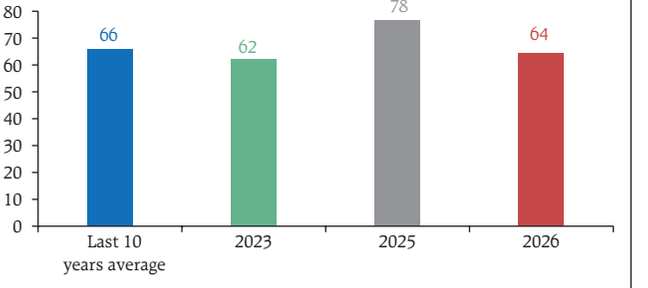
(Deviation from long period average in per cent)



Note: Data for rainfall pertains to June 01- August 21.
Source: India Meteorological Department (IMD).

b. Reservoir Level

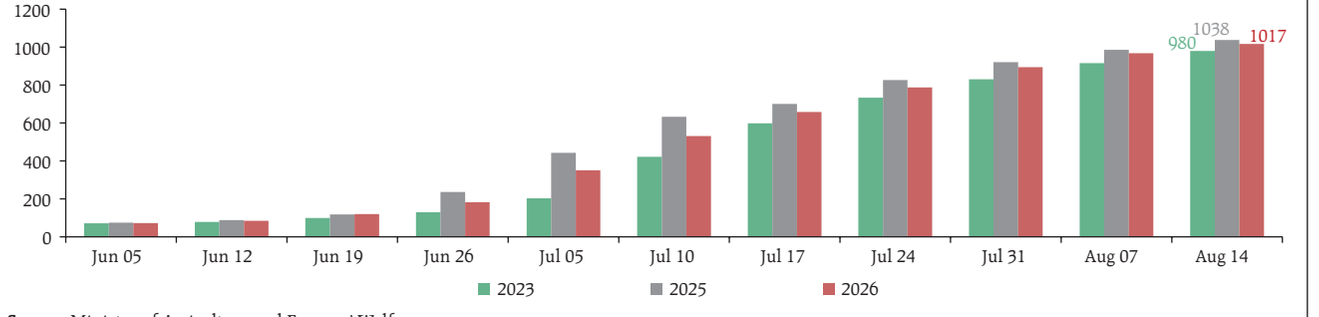
(Per cent of full reservoir level)



Note: Data for reservoirs pertains to August 20.
Source: Central Water Commission.

c. Progress in *Kharif* Sowing

(Cumulative Acreage in lakh hectare)



Source: Ministry of Agriculture and Farmers' Welfare.

[29] As on August 14, 2026, the *kharif* acreage stood at 92 per cent of full season normal area. The sowing gap as compared to the corresponding period of the previous year has come down to 2 per cent from 2.9 per cent on July 31. The sown area under all major crop groups has remained lower than the corresponding period of the previous year.

forecast of rainfall at the all-India level for the second half of the season (August and September).[30]

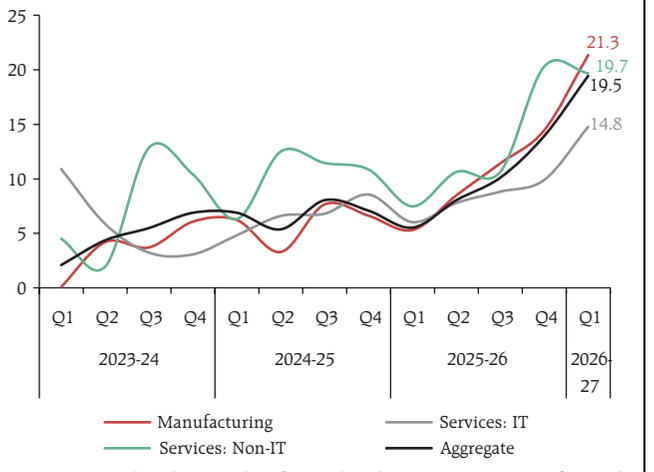
A bumper production in the previous year led to a robust procurement of rice and wheat[31], and comfortable public foodgrain stocks which are well above the buffer norms.[32] The Government has announced Open Market Sales Scheme (OMSS) for rice and wheat for 2026-27 on July 03, 2026, which is valid until June 30, 2027.

Industry and Services

Quarterly results of listed non-government non-financial (NGNF) companies[33] for Q1:2026-27 indicate a resilient corporate performance with a sharp rise in nominal sales growth, mainly driven by automobiles, petroleum, and electrical machinery industries (Chart III.6). Within services sector, sales growth of both IT and non-IT companies remained buoyant with a notable pick-up in the IT sector.

Chart III.6: Sales Growth of Listed Private Non-Financial Companies Strengthened in Q1:2026-27

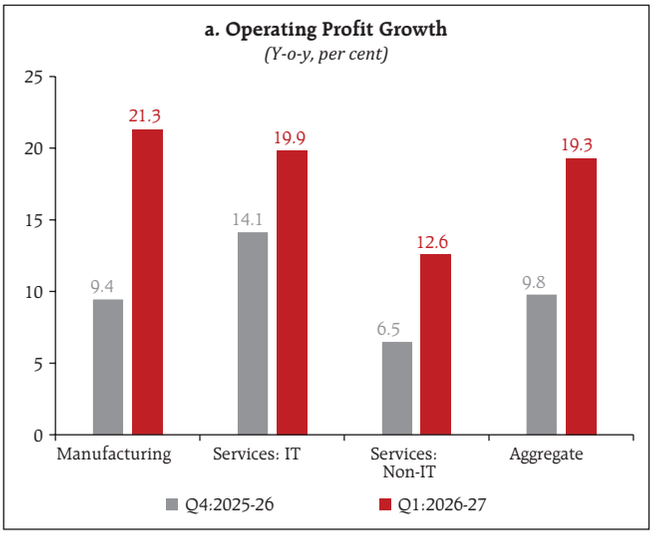
(Y-o-y, per cent)

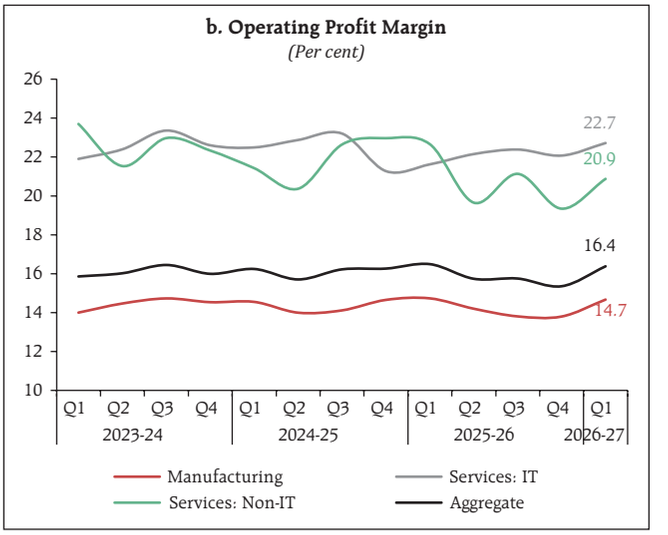


Note: Data are based on results of 3,225 listed non-government non-financial companies in Q1:2026-27 (1,814 manufacturing, 203 IT, and 953 non-IT services).
Sources: Capitaline database and RBI staff calculations.

The operating profit of manufacturing and services companies improved significantly during Q1:2026-27 from the previous quarter (Chart III.7a). The operating profit margins improved across all major sectors (Chart III.7b).

Chart III.7: Profitability of Listed Private Non-Financial Companies Improved in Q1: 2026-27





Note: Data are based on results of 3,225 listed non-government non-financial companies in Q1:2026-27 (1,814 manufacturing, 203 IT, and 953 non-IT services).
Sources: Capitaline database and RBI staff calculations.

[30] IMD has forecast rains at less than 94 per cent of the long period average during the second half of the monsoon season (August–September).

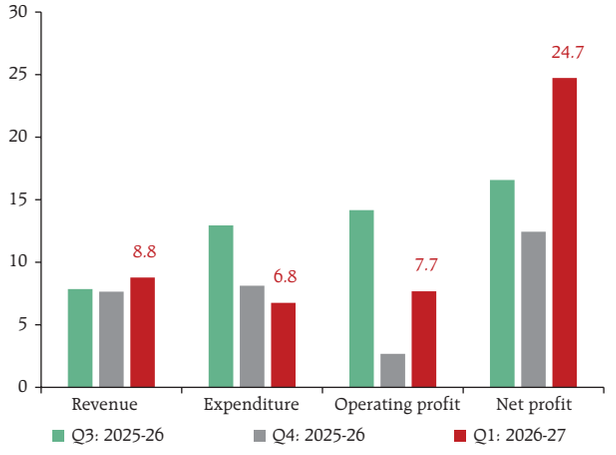
[31] Rice procurement during *Kharif* Marketing Season (KMS) 2025-26 (Oct-Sep), as on August 17, 2026 stood at 571.7 lakh tonnes which is 5.1 per cent higher than corresponding period of KMS 2024-25. Wheat procurement during *Rabi* Marketing Season (RMS) 2026-27 (Apr-Mar) at 357.6 lakh tonnes has surpassed government's procurement target of 355.4 lakh tonnes and stood 19.4 per cent higher than the procurement during RMS 2025-26.

[32] As on August 01, 2026, the rice and wheat stocks stood at 4.7 times and 1.8 times the respective quarterly buffer norms.

[33] Based on 3,225 listed NGNF companies.

Chart III.8: Performance of Listed Banking and Financial Companies Improved in Q1:2026-27

(Y-o-y, per cent)



Note: Based on a sample of 435 companies constituting around 95.4 per cent of the total market capitalisation of listed banking and financial sector companies.
Sources: CMIE Prowess; and RBI staff calculations.

During Q1:2026-27, the revenue growth of listed banking and financial sector companies edged up. Net profit growth of these companies also surged, largely reflecting a decline in other provisions and contingencies (Chart III.8).

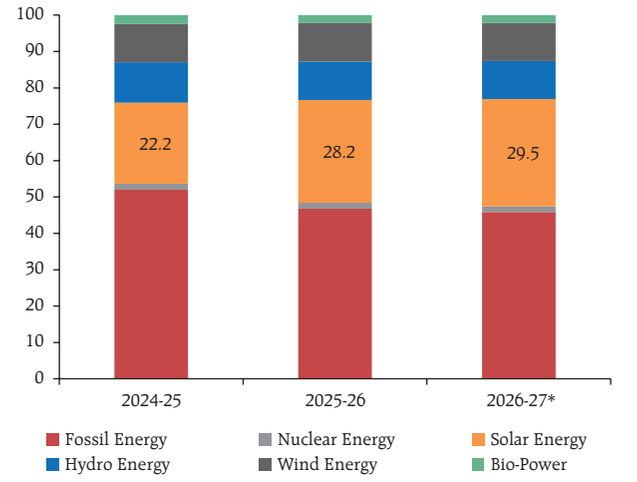
Monthly Indicators of Industrial Activity

Based on high-frequency indicators, industrial activity remained resilient despite the geopolitical tensions in West Asia. Index of industrial production strengthened sharply in June, recording its strongest growth in nearly two years, supported by a broad-based acceleration in manufacturing. In July, the PMI manufacturing remained in the expansionary zone, with a slight moderation in momentum. Export orders strengthened, indicating resilient external demand, while firms' expectations for future output improved, pointing to a positive outlook for demand and new business opportunities.[34] Electricity generation remained robust in July, with conventional power generation sustaining the growth amidst elevated power demand and cooling requirements. The Index of Core Industries (ICI) witnessed steady growth in July, supported by iron ore, electricity, cement and refinery products (Annex Box 1). Automobile production continued to register robust growth, led by passenger vehicles and two-wheelers. Capital goods imports remained strong in July, suggesting sustained investment demand (Table III.4).

India's clean energy sector achieved a major milestone by crossing 300 Gigawatt (GW) of non-fossil fuel-based installed electricity generation capacity, primarily driven by solar energy whose cumulative installed capacity reached 164 GW by July 31, 2026 (Chart III.9). To provide further boost to India's solar sector, the Government has approved the Pradhan Mantri Surya Sarovar Yojana (PM-SSY) for the development of Floating Solar Photovoltaic Projects with Energy Storage Systems.[35] With an outlay of ₹5,070 crore, the scheme will be implemented

Chart III.9: Rising Share of Solar Energy in Installed Electricity Generation Capacity

(Per cent)



Note: *: As on July 31, 2026.
Source: Central Electricity Authority.

[34] PMI slips to near five-year low in July but still signals solid growth (available at https://www.pmi.spglobal.com/Public/Home/PressRelease/d0eb143861814375aba7d6c948b75f38)

[35] Press Information Bureau, July 31, 2026.

Table III.4: High Frequency Indicators for Industry Remained Robust

Indicator	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	Jul-26
IIP-Headline	5.4	4.7	6.1	-0.9	7.0	6.7	4.1	4.4	3.0	4.9	5.0	7.3	
IIP Manufacturing	5.1	3.6	5.5	-0.7	8.8	7.7	4.6	5.7	4.0	6.1	5.2	7.8	
IIP capital goods	5.9	6.0	13.2	5.4	16.6	12.9	12.4	16.5	8.5	12.0	15.5	14.2	
PMI Manufacturing	59.1	59.3	57.7	59.2	56.6	55.0	55.4	56.9	53.9	54.7	55.0	54.2	53.5
PMI Export Order	57.3	56.1	56.5	54.7	54.1	54.0	54.1	53.2	55.0	56.3	53.7	52.1	54.3
PMI Manufacturing: Future Output	57.6	60.5	64.8	62.3	57.1	56.9	56.4	57.9	67.3	65.5	64.1	56.8	57.6
Index of Core Industries	3.2	6.2	3.1	0.8	3.5	5.6	5.2	3.2	2.9	2.7	3.2	6.0	5.4
Electricity generation: Conventional (Volume)	-0.8	1.0	0.8	-10.6	-5.0	4.4	2.2	-1.5	-1.1	2.3	7.5	8.3	7.3
Electricity generation: Renewable (Volume)	26.4	22.7	16.4	21.4	22.9	18.0	22.9	25.3	11.7	23.2	29.9	24.7	
Automobile Production (Volume)	10.7	8.1	10.8	-2.8	22.3	37.1	15.0	22.1	20.2	26.0	13.4	27.5	24.8
Of which **Passenger vehicle production (Volume)**	0.1	-4.1	16.1	9.8	22.8	23.1	5.6	9.8	9.0	12.8	10.9	17.6	26.4
Two-wheelers production (Volume)	12.3	10.0	9.8	-5.6	20.9	39.9	16.1	24.4	22.0	28.1	13.0	28.3	24.2
Three-wheelers production (Volume)	24.0	15.8	15.9	15.9	55.4	39.6	33.2	29.9	34.0	41.6	32.9	42.8	30.0
Tractor production (Volume)	11.5	9.4	23.0	13.0	37.5	57.9	14.6	80.0	28.6	18.1	15.5	10.2	6.7
Crude steel production (Volume)	13.8	12.8	13.7	8.9	11.1	10.8	11.5	11.4	10.6	4.5	1.9	4.4	
Finished steel production (Volume)	13.8	13.8	14.0	7.2	12.4	10.9	12.5	8.6	8.2	6.3	6.8	3.8	
Import of capital goods (Value)	13.5	0.2	12.8	12.0	14.8	17.9	5.2	17.0	11.7	21.6	18.0	38.7	25.5

<<Contraction ---------- Expansion>>

Notes: 1. The *y-o-y* growth (in per cent) has been calculated for all indicators (except for PMI).
2. The heatmap translates the data range for each indicator into a colour gradient scheme with red denoting the lowest values and green corresponding to the highest values of the respective data series.
3. The heatmap is applied on data from April 2023 to the latest month for which data is available.
4. All PMI values are reported in index form. A PMI value >50 denotes expansion, <50 denotes contraction and =50 denotes 'no change'. In the PMI heatmaps, red denotes the lowest value, yellow denotes 50 (or the no change value), and green denotes the highest value in each of the PMI series.

Sources: Ministry of Statistics and Programme Implementation (MoSPI); S&P Global; Central Electricity Authority (CEA), Ministry of Power; Society of Indian Automobile Manufacturers (SIAM); Office of Economic Adviser, GoI; Joint Plant Committee; Directorate General of Commercial Intelligence & Statistics; and Tractor and Mechanisation Association.

from 2026-27 to 2030-31 to enhance the floating solar photovoltaic capacity in the country from 700 megawatt (MW) to 5,000 MW.

Monthly Indicators of Services Activity

Services sector activity remained resilient in July. The services PMI continued to remain in the expansionary zone though witnessing some moderation as new business inflows rose only moderately. Other high frequency indicators point to buoyant road transport activity with retail commercial vehicle sales registering strong growth, led by continued demand across the vehicle segments. International air passenger traffic remained subdued, although the pace of contraction eased further in July. Cement production witnessed a pick-up in growth. Domestic logistics activity strengthened, with railway freight movements and port cargo traffic recording healthy growth. Air cargo movements also remained robust in June, supported by strong international air cargo activity. Foreign tourist arrivals recorded steady growth in June aided by favourable base effect (Table III.5).

Table III.5: High Frequency Indicators for Services Remained Resilient

Indicator	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	Jul-26
PMI Services	60.5	62.9	60.9	58.9	59.8	58.0	58.5	58.1	57.5	58.8	59.8	57.4	53.3
International air passenger traffic	5.5	7.7	7.3	9.7	7.5	6.0	7.1	3.0	-18.5	-16.1	-9.1	-4.6	-4.0
Domestic air cargo	4.8	7.1	2.8	-2.3	20.5	4.3	8.7	18.5	10.8	7.0	10.7	9.4	
International air cargo	4.2	4.5	2.3	-2.3	12.7	12.6	8.4	17.5	-6.0	11.6	10.4	19.4	
Port cargo traffic	4.0	2.5	11.5	11.9	14.5	12.7	7.6	5.1	0.6	2.4	6.6	9.4	8.8
Railway freight traffic: freight originating	0.0	8.5	3.9	2.3	4.2	3.2	2.9	4.0	3.1	-1.0	1.4	4.0	8.9
Retail commercial vehicle sales	0.2	8.6	2.7	21.1	17.0	24.6	15.1	28.9	15.1	18.8	5.3	16.9	24.0
Steel consumption	7.3	10.0	8.9	2.4	6.0	5.4	4.9	12.8	13.7	8.1	9.4	7.4	
Cement production	11.6	5.4	5.0	5.2	14.6	13.7	11.3	9.1	4.7	8.3	8.4	9.9	13.1
Foreign tourist arrivals	-16.4	-5.1	-9.8	-5.1	-2.0	2.0	5.2	6.1	-1.6	-14.7	9.0	6.6	
Hotel occupancy	-2.4	-3.2	-0.6	0.0	3.8	-1.5	-8.5	1.2	-4.0	-1.0	9.9	5.5	

<<Contraction ---------- Expansion>>

Notes: 1. The *y-o-y* growth (in per cent) has been calculated for all indicators (except for PMI).
2. The heatmap translates the data range for each indicator into a colour gradient scheme with red denoting the lowest values and green corresponding to the highest values of the respective data series.
3. The heatmap is applied to data from April 2023 to the latest month for which data is available.
4. All PMI values are reported in index form. A PMI value >50 denotes expansion, <50 denotes contraction and =50 denotes 'no change'. In the PMI heatmaps, red denotes the lowest value, yellow denotes 50 (or the no change value), and green denotes the highest value in each of the PMI series.

Sources: Federation of Automobile Dealers Associations (FADA); Indian Ports Association; Ministry of Railways; Airports Authority of India; Joint Plant Committee, Ministry of Steel; Office of Economic Adviser, Ministry of Commerce & Industry; Ministry of Tourism; HVS Anarock; and S&P Global.

Inflation

The headline consumer price index (CPI) inflation[36] increased marginally to 4.45 per cent (*y-o-y*) in July 2026 from 4.38 per cent in June, driven by 'food and beverages', while core inflation remained unchanged (Chart III.10).[37] Eight out of twelve divisions witnessed a sequential increase in inflation in July (Chart III.11).

The increase in 'food and beverages' inflation remained broad-based with meat, eggs, and spices registering double digit inflation.[38] On a month-on-month (m-o-m) basis, indices for all sub-components of 'food and beverages' registered positive momentum in July. Fuel inflation edged up marginally in July.[39]

Core inflation remained steady at 3.9 per cent (*y-o-y*) in July with elevated inflation persisting in 'personal care, social protection and miscellaneous goods and services' and 'restaurant and accommodation services' divisions. Excluding precious metals, core inflation rose to 2.7 per cent in July from 2.5 per cent in June.

The inflation edged up marginally both in urban and rural areas in July[40] and most of the States/

[36] As per the provisional data released by the National Statistics Office (NSO) on August 12, 2026.

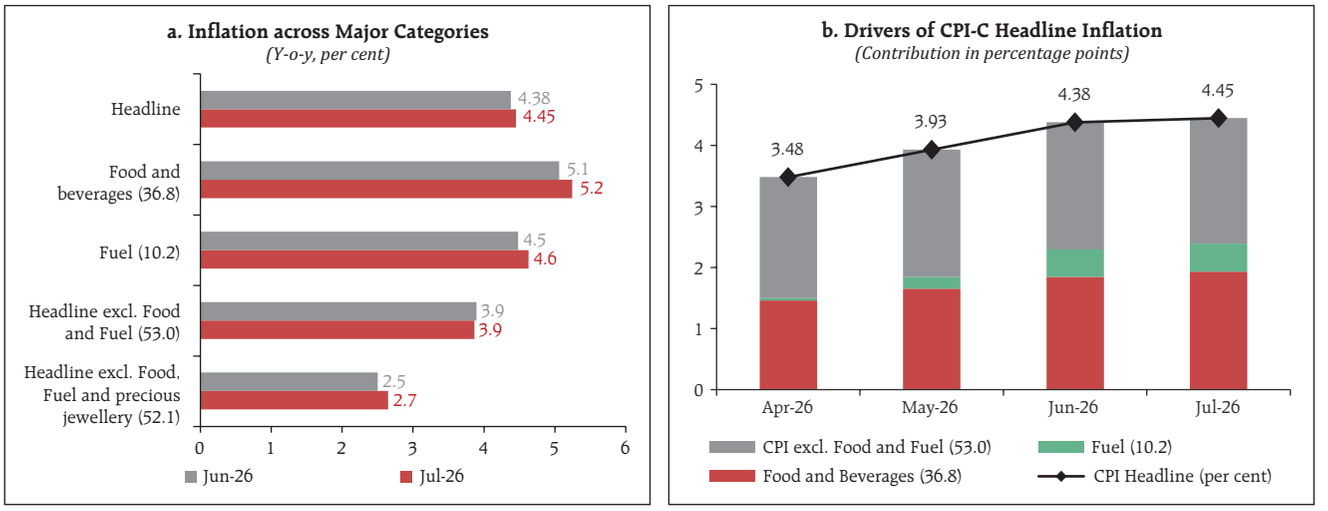
[37] On a month-on-month basis, the index recorded a positive momentum of 88 basis points (bps), which was largely offset by a favourable base effect of around 82 bps. All the major constituents of CPI, *viz.*, food and beverages, fuel, and core (excluding food and fuel) recorded a positive momentum in July. Fuel represents the group 'Electricity, gas and other fuels' and a class 'Fuels and lubricants' for personal transport equipment [which includes items Diesel, Petrol and Other natural gas (compressed natural gas). For more details, refer to Box IV.2 in the 'Prices and Costs' chapter of the Monetary Policy Report, April 2026.

[38] Inflation in meat, eggs and spices was greater than 12 per cent.

[39] CPI Fuel inflation rose marginally to 4.6 per cent in July 2026 from 4.5 per cent in June 2026.

[40] Inflation stood at 4.0 per cent and 4.8 per cent, respectively, in urban and rural areas during July 2026. Corresponding numbers for June 2026 were 3.9 per cent and 4.7 per cent.

Chart III.10: Marginal Uptick in Food Inflation in July

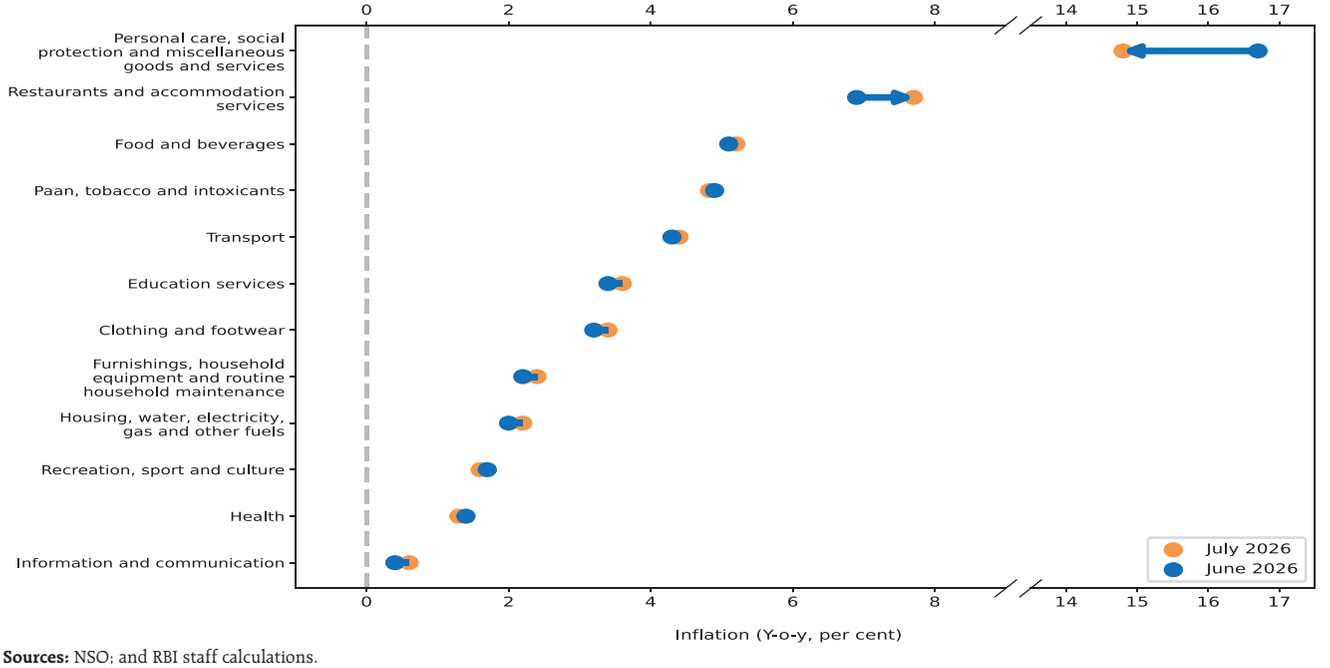


Notes: 1. Figures in parentheses indicate weights in Consumer Price Index-Combined (CPI-C) (2024=100).
2. Precious jewellery includes the items 'gold/diamond/platinum jewellery' and 'silver jewellery'.
Source: National Statistics Office (NSO).

UTs recorded inflation in the range of 2–6 per cent (Chart III.12).[41]

During August so far (till 21st), high-frequency data suggest a broad-based sequential increase in food prices. Among cereals, rice and wheat prices continued their upward trajectory, though their pace of *m-o-m* increase stabilised. Within pulses, prices of all the major constituents inched up over previous month. Edible oil prices registered broad-based increases, led

Chart III.11: Division-wise Change in Inflation Rates

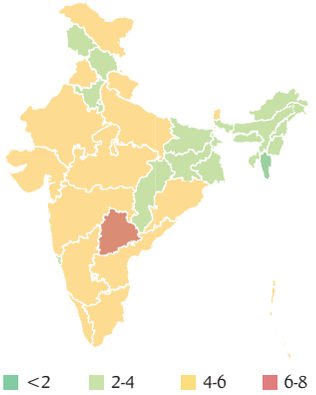


Sources: NSO; and RBI staff calculations.

[41] Inflation ranged from 1.8 per cent to 6.3 per cent across states/UTs.

Chart III.12: Spatial Distribution of Inflation: July 2026

(Y-o-y, per cent)



Inflation Range	Number of States/UTs
<2	1
2-4	16
4-6	18
6-8	1

Monthly Inflation Trend	Number of States/UTs
Decline or Stable	21
Increase	15

Notes: 1. Map is for illustrative purposes only.
2. Andaman and Nicobar Islands; and Lakshadweep experienced inflation of 4.2 per cent and 3.2 per cent, respectively.

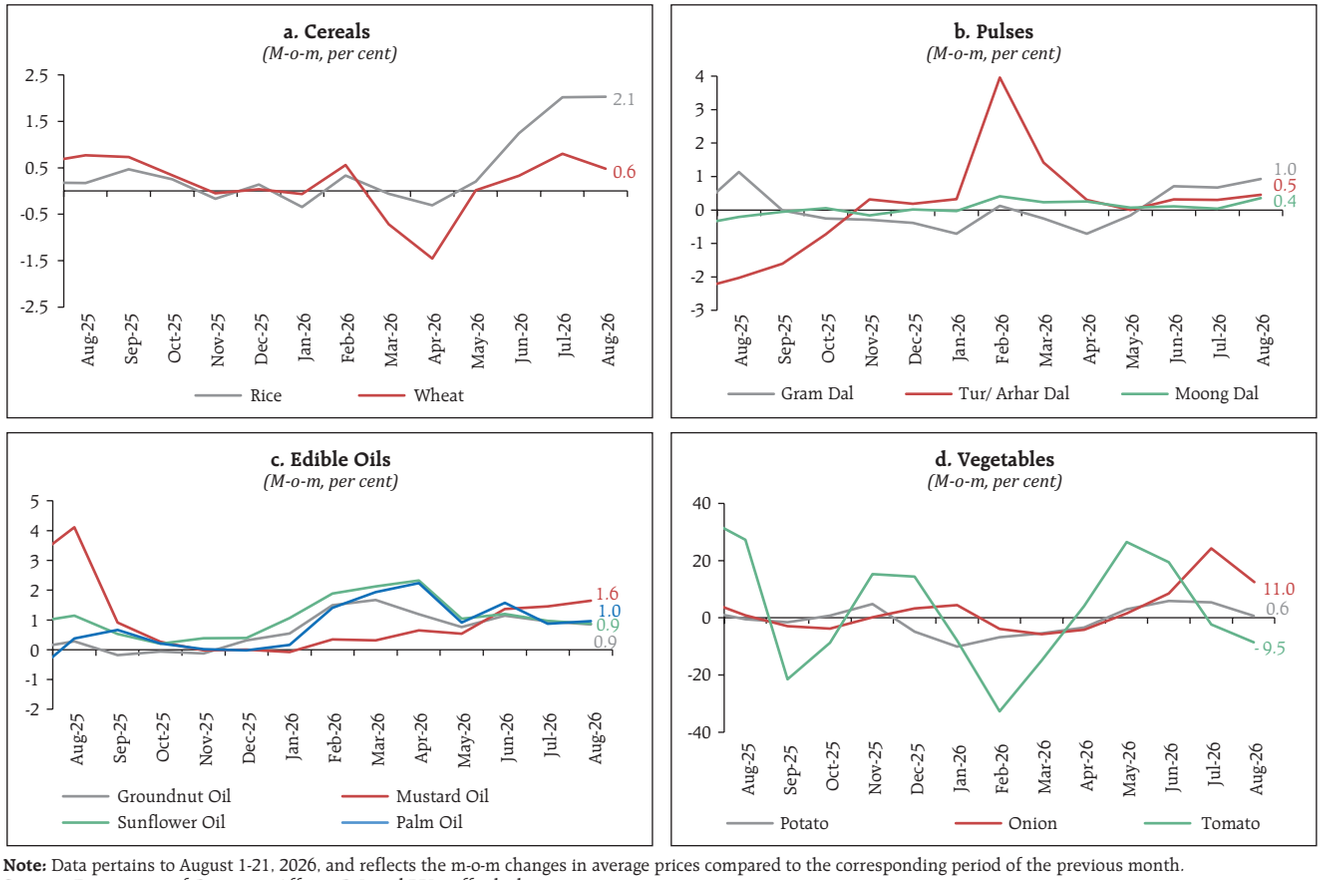
Sources: NSO; and RBI staff calculations.

by mustard and palm oil. Pace of increase in prices of key vegetables moderated sequentially, with tomato prices recording a *m-o-m* decline (Chart III.13).

Retail prices of petrol, diesel, and domestic LPG remained unchanged in August so far (till 21st) (Table III.6). The price of the Indian basket crude oil[42] increased to US$ 89.7 per barrel in August (till 20th), higher than the average price recorded in both June and July (Chart III.14).

The Union Cabinet has recently approved 'Samudra Manthan' – the National Offshore Exploration Scheme which aims to unlock India's vast offshore energy potential. It is expected to catalyse hydrocarbon reserve accretion of over 600 million

Chart III.13: Broad Based Food Price Pressures in August 2026



Note: Data pertains to August 1-21, 2026, and reflects the m-o-m changes in average prices compared to the corresponding period of the previous month.

Sources: Department of Consumer Affairs, GoI; and RBI staff calculations.

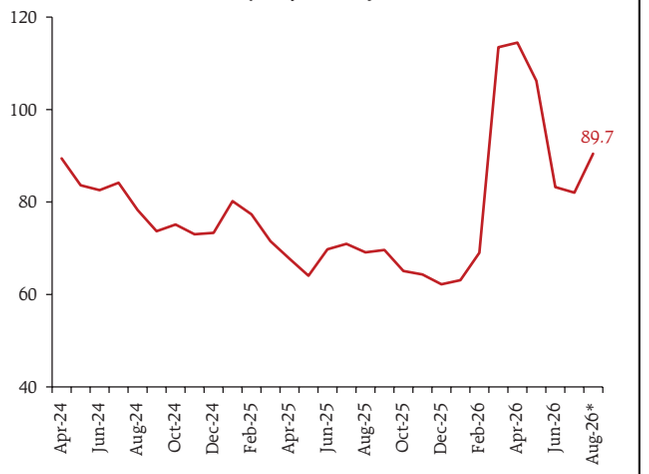
[42] Represents a derived basket of Sweet grade (Brent dated) and Sour grade (Oman and Dubai average) imported by Indian refineries during the month in the ratio 61:39 for April, 70:30 for May, 71:29 for June, 79:21 for July, and 75:25 for August (approximately).

Table III.6: Petroleum Product Prices Remained Unchanged in July and August

Item	Unit	Domestic Prices			Month-over-month (per cent)	
		Aug-25	Jul-26	Aug-26 ^	Jul-26	Aug-26 ^
Petrol	₹/litre	101.1	108.7	108.7	0.0	0.0
Diesel	₹/litre	90.5	98.1	98.1	0.0	0.0
Kerosene (subsidised)	₹/litre	44.5	46.8	46.8	0.0	0.0
LPG (non-subsidised)	₹/cylinder	863.3	952.3	952.3	0.6	0.0

^: For the period August 1-21, 2026.
Note: Other than kerosene, prices represent the average Indian Oil Corporation Limited (IOCL) prices in four major metros (Delhi, Kolkata, Mumbai and Chennai). For kerosene, prices denote the average of the subsidised prices in Kolkata, Mumbai and Chennai.
Sources: IOCL; Petroleum Planning and Analysis Cell (PPAC); and RBI staff estimates.

Chart III.14: Indian Basket Crude Oil Prices Increased in August
(USD per barrel)



*: Data up to August 20, 2026.
Note: Data indicates monthly average.
Source: Petroleum Planning and Analysis Cell (PPAC).

tonnes of oil equivalent, increase offshore exploration activity, increase availability of domestic oil and gas and stregthen indigenous manufacturing.[43]

WPI inflation moderated marginally to 9.8 per cent in July 2026, from 9.9 per cent in June, supported by a decline in fuel and power group inflation.[44] Inflation in primary and manufactured products, however, registered an increase. Industrial[45] and farm input[46] cost inflation moderated, but remained elevated.[47] The output producer price index (OPPI) also remained sticky at 9.6 per cent in July 2026 due to elevated inflation in manufacturing products, agriculture, forestry & fishing, and mining & quarrying.

The PMI for input prices for manufacturing and service sector firms continued their easing trend in July 2026 while remaining in expansionary zone**.** The PMI for output prices marked an uptick across both the sectors, narrowing the gap between input and output price indices, especially for service sector firms (Chart III.15).

IV. Financial Conditions

System liquidity[48] improved in July and August so far (till 21st).[49] The liquidity surplus narrowed in the second half of July on account of tax outflows, but it went up again in August on account of drawdown of the government cash balances and measures taken to attract capital inflows. The average daily deployment under the standing deposit facility (SDF) increased. The reliance of banks

[43] Press Information Bureau, July 31, 2026.

[44] Fuel and power inflation declined to 20.0 per cent in July 2026 from its recent peak of 30.8 per cent in May 2026.

[45] Comprises primary non-food articles, minerals, coal, aviation turbine fuel, high speed diesel, naphtha, bitumen, furnace oil, lube oil, petroleum coke, electricity, cotton yarn and paper and pulp from WPI.

[46] Comprises high speed diesel, fodder, electricity, fertilisers, pesticides and agricultural and forestry machinery from WPI.

[47] Industrial and farm input cost inflation moderated to 15.0 per cent and 10.9 per cent respectively in July 2026 compared to 16.2 per cent and 11.7 per cent respectively in June 2026.

[48] As measured by the average daily net absorption under the liquidity adjustment facility (LAF).

[49] Overall, daily average net absorption under the LAF increased significantly to ₹3.48 lakh crore during August (till 21st) from ₹1.19 lakh crore in July and ₹0.89 lakh crore in June.

Chart III.15: PMI Input Prices Eased while Output Prices Edged up in July

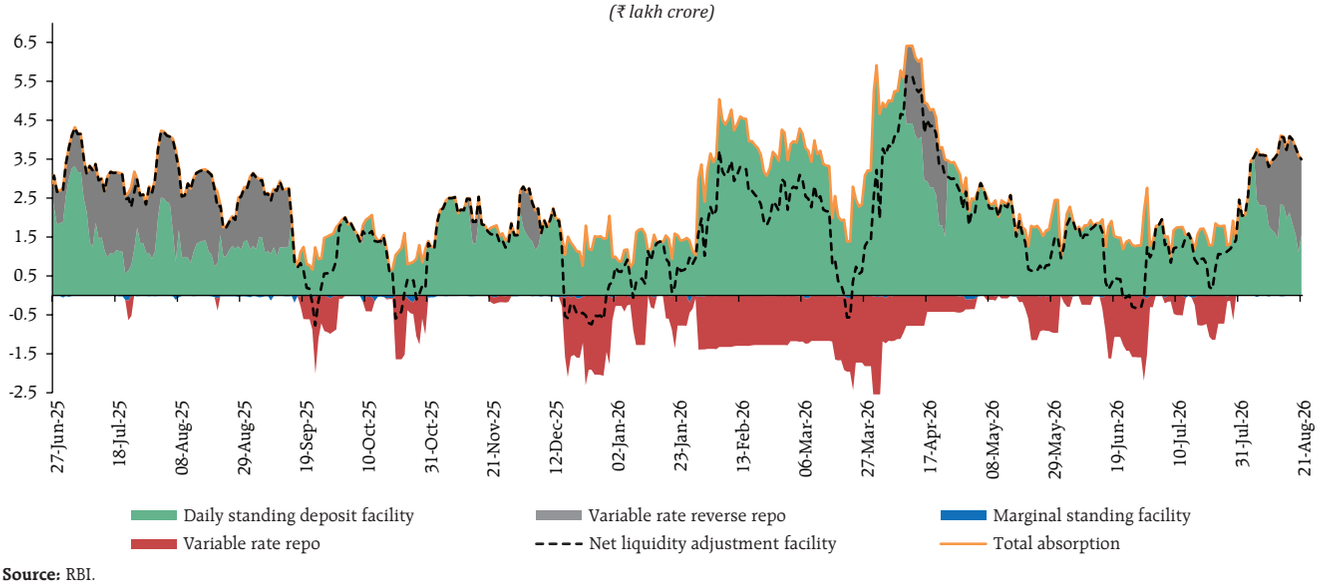


Note: A level of 50 corresponds to no change in activity, and a reading above 50 denotes expansion and *vice versa*.
Source: S&P.

on the marginal standing facility (MSF) declined (Chart IV.1).[50] High SDF balances coupled with tepid response to variable rate repo (VRR) auctions in the recent period, suggest comfortable liquidity conditions.[51] With liquidity surplus in the banking system crossing ₹3.0 lakh crore for the first time in nearly four months, the Reserve Bank conducted sixteen variable rate reverse repo (VRRR) auctions (overnight to 7-days maturity) in August, cumulatively absorbing ₹12.68 lakh crore.

Chart IV.1: System Liquidity Improved in July and August

(₹ lakh crore)



Source: RBI.

[50] Average balances under the standing deposit facility rose to ₹2.12 lakh crore during August (till 21st), from ₹1.60 lakh crore in July. Borrowings under the marginal standing facility reduced from ₹1,094 crore to ₹857 crore during this period.

[51] To address the transient liquidity shortage during July-August (till 21st), the Reserve Bank conducted 14 VRR auctions injecting ₹4.13 lakh crore into the system.

Money Market

The weighted average call rate (WACR) generally hovered in the upper half of the policy corridor during end-June and July following moderation in surplus liquidity. Towards end-July and August so far (till 21st), overnight money market rates softened with comfortable liquidity (Chart IV.2a).[52] Overnight rates in the collateralised segment evolved in line with the WACR and the changes in system liquidity. The yields on 3-month Treasury Bills remained largely range-bound. Commercial papers (CPs) and certificate of deposits (CDs) rates softened in second half of July and August as improved liquidity and inflows from FCNR(B) deposit reduced banks' dependence on CDs (Chart IV.2b).[53] The spread between 3-month CP and 91-day Treasury Bill yields narrowed.[54]

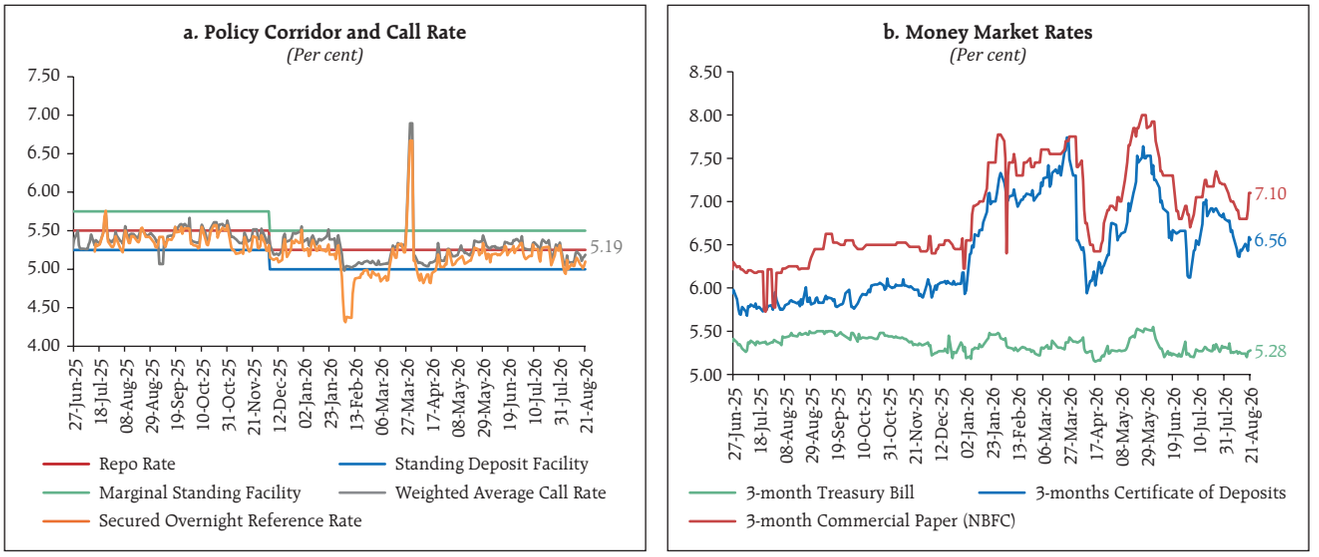
Government Securities (G-Sec) Market

G-sec yields hardened in July reflecting renewed geopolitical tensions in West Asia, volatile crude oil prices, rise in US treasury yields and higher domestic CPI inflation for June (Chart IV.3). The yields softened in early August driven by (i) robust capital inflows under the Reserve Bank's swap facilities; and (ii) the RBI's Monetary Policy Committee (MPC) unanimously voting to keep the policy repo rate unchanged at 5.25 per cent, broadly in line with market expectations while maintaining the neutral stance.[55] In mid-August, yields rose across tenors, reflecting a rise in crude oil prices and hardening of US treasury yields.

Corporate Bond Market

Corporate bond issuances rebounded in June. On a cumulative basis, the total issuance remained

Chart IV.2: WACR Traded within the Corridor and Money Market Rates Eased



Sources: RBI; and Bloomberg.

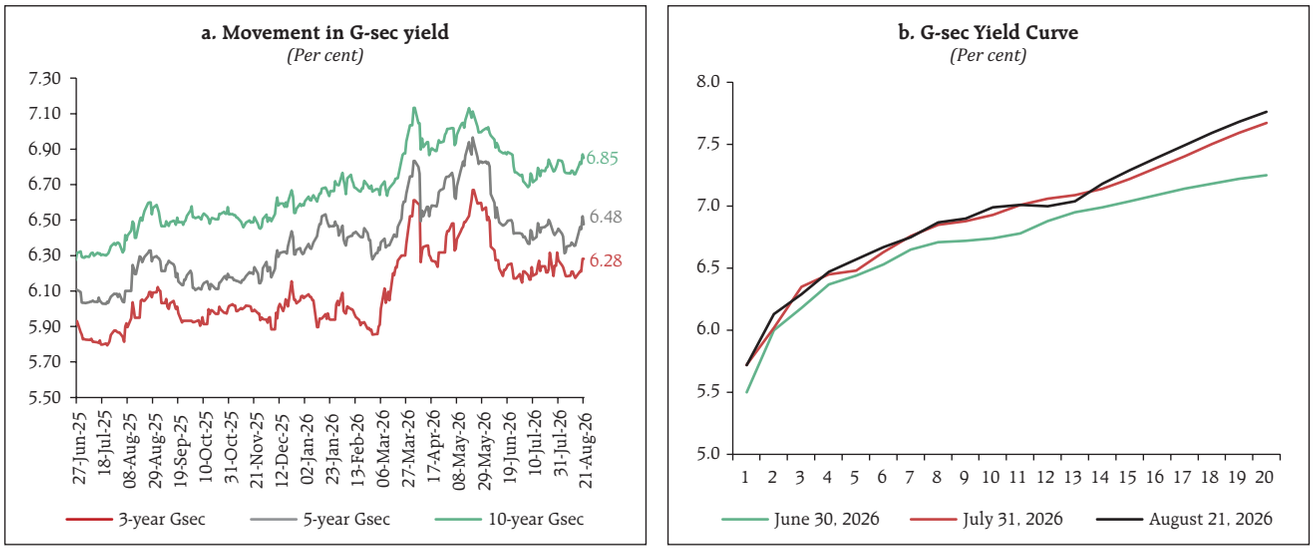
[52] On an average, the WACR moderated to 5.13 per cent during August so far (up to 21st) from 5.29 per cent in July.

[53] The average yields on three-month Treasury bills, three-month CDs and CPs issued by NBFCs softened by 2 basis points (bps), 16 bps and 16 bps, respectively in August so far (up to 21st) as compared to July.

[54] The spread declined to an average of 167 bps in August so far (up to 21st) from 182 bps in July.

[55] 10-year G-sec yield marginally increased to 6.85 per cent on August 21, 2026, from 6.84 per cent on July 31, 2026. The yield stood at 6.75 per cent as at end-June 2026.

Chart IV.3: G-sec Yields Edged up in August from July levels



Sources: Bloomberg; and Financial Benchmarks India Pvt. Ltd.

significantly lower in the current financial year so far due to elevated yields.[56] Corporate bond yields and spreads exhibited a mixed picture across tenors and rating spectrums in August (till 20th) [Table IV.1].

Money and Credit

The reserve money (adjusted for cash reserve ratio) expanded at a robust pace in July 2026, and currency in circulation remained broadly steady.[57] Money supply growth remained elevated (Chart IV.5).[58]

Credit growth continued to remain healthy in July. The recent deposit mobilisation by scheduled commercial banks' (SCBs') helped the incremental credit-deposit ratio to moderate (Chart IV.6).[59]

Table IV.1: Average Corporate Bond Yields and Spreads Exhibited Mixed Trend

	Yields *(Per cent)*			Spread *(bps)* (Over Corresponding Risk-free Rate)		
Instrument	**July, 2026**	**August 2026** (upto 20th)	**Variation** *(bps)*	**July, 2026**	**August 2026** (upto 20th)	**Variation**
1	**2**	**3**	**(4 = 3-2)**	**5**	**6**	**(7 = 6-5)**
(i) AAA (1-year)	7.44	7.33	-11	170	155	-15
(ii) AAA (3-year)	7.46	7.53	7	111	117	6
(iii) AAA (5-year)	7.51	7.53	2	95	100	5
(iv) AA (3-year)	8.26	8.34	8	191	198	7
(v) BBB minus (3-year)	11.84	11.92	8	549	556	7

Source: Fixed Income Money Market and Derivatives Association of India.

[56] Issuances increased to ₹1.03 lakh crore in June 2026 from ₹0.51 lakh crore in May 2026. On a cumulative basis, it stood at ₹1.88 lakh crore in Q1:2026-27, significantly lower than ₹2.95 lakh crore in the corresponding period of the previous year.

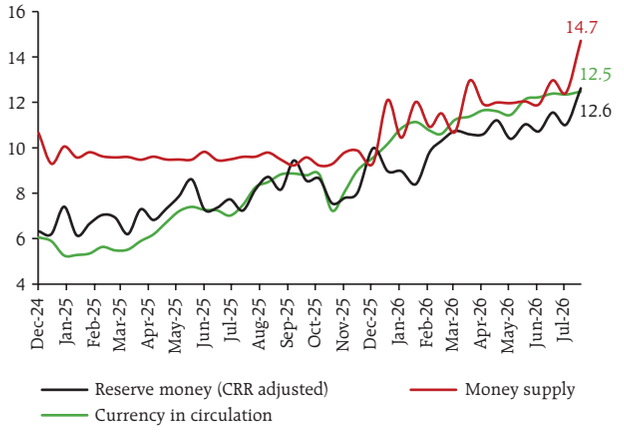
[57] Growth in reserve money (adjusted for the first-round impact of changes in the cash reserve ratio) increased to 12.6 per cent (*y-o-y*) as on July 31, 2026, as compared to 11.6 per cent (*y-o-y*) as on June 30, 2026. Growth in currency in circulation stood at 12.5 per cent (*y-o-y*) as on July 31, 2026, marginally higher than 12.4 per cent (*y-o-y*) as on June 30, 2026.

[58] Money supply grew by 14.7 per cent (*y-o-y*) as on July 31, 2026, as against 13.0 per cent (*y-o-y*) as on June 30, 2026.

[59] SCBs' credit and deposit growth stood at 19.3 per cent (*y-o-y*) and 15.4 per cent (*y-o-y*), respectively, as on July 31, 2026, compared to 18.6 per cent (*y-o-y*) and 13.3 per cent (*y-o-y*), respectively, as on June 30, 2026.

Chart IV.5: Sustained Expansion in Reserve Money and Money Supply (M_3)

(Y-o-y, per cent)

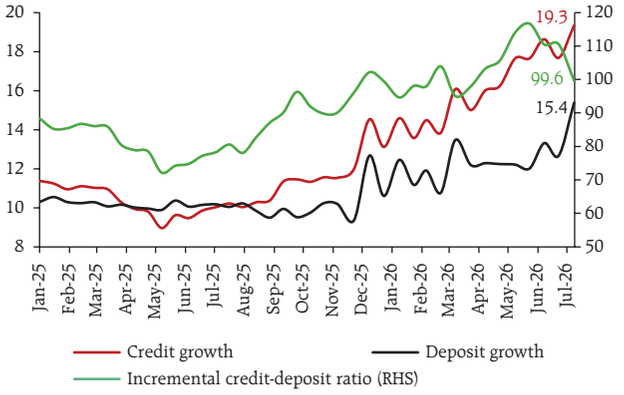


Note: With the change in the definition of fortnight vide the Banking Laws (Amendment) Act, 2025, data for reserve money and money supply pertain to 15th and last day of the month, effective December 15, 2025.
Source: RBI.

The total flow of financial resources to the commercial sector increased in 2026-27 so far (up to July 31), driven by a pickup in non-food bank credit and rise in foreign direct investment (FDI) to India[60] (Table IV.2a and 2b).

Chart IV.6: Decline in Incremental Credit-Deposit Ratio

(Y-o-y, percent, left scale; Ratio, right scale)



Notes: 1. SCBs' data are inclusive of regional rural banks. Data include the impact of the merger of a non-bank with a bank.
2. With the change in the definition of fortnight vide the Banking Laws (Amendment) Act, 2025, data for SCBs pertain to 15th and last day of the month, effective December 15, 2025.
Source: Fortnightly Section 42 Returns, RBI.

Bank credit continued to record robust growth across major sectors in June 2026.[61] Credit to the

Table IV.2a: Flow of Financial Resources to Commercial Sector Increased

(₹ lakh crore)

Source	April-March		Up to July 31	
	2024-25	2025-26	2025-26	2026-27 P
A. Non-Food Bank Credit	**18.08**	**29.19**	**0.73**	**6.69**
B. Non-Bank Sources (B1+B2)	**18.15**	**17.69**	**3.76**	**3.96**
B1. Domestic Sources	14.91	12.66	2.37	1.88
B2. Foreign Sources	3.25	5.03	1.39	2.08
C. Total Flow of Resources (A+B)	**36.23**	**46.88**	**4.48**	**10.65**

P: Provisional.
Notes: 1. Figures in the columns might not add up to the total due to rounding off of numbers.
2. For detailed notes and data, please refer to Current Statistics Table No: 18(a).
Sources: RBI; SEBI (Securities and Exchange Board of India); AIFIs (All India Financial Institutions); and RBI staff calculations.

Table IV.2b: Higher Outstanding Credit to Commercial Sector

(₹ lakh crore; Figures in parentheses are y-o-y percentage changes)

Source	At End-March		As on July 31	
	2025	2026	2025	2026 P
A. Non-Food Bank Credit	**183.72 (10.9)**	**212.91 (15.9)**	**184.45 (9.9)**	**219.60 (19.1)**
B. Non-Bank Sources (B1+B2)	**88.86 (14.6)**	**101.59 (14.3)**	**90.80 (15.4)**	**103.53 (14.0)**
B1. Domestic Sources	66.37 (17.3)	75.11 (13.2)	68.00 (18.1)	76.44 (12.4)
B2. Foreign Sources	22.49 (7.2)	26.48 (17.7)	22.79 (8.0)	27.10 (18.9)
C. Total Credit (A+B)	**272.58 (12.1)**	**314.50 (15.4)**	**275.24 (11.6)**	**323.14 (17.4)**

P: Provisional.
Notes: 1. Figures in the columns might not add up to the total due to rounding off of numbers.
2. Data on non-bank sources excludes issuances of equities and hybrid instruments under domestic sources and foreign direct investment in equities under foreign sources.
3. Flows based on outstanding data may not tally with the flows provided in Table IV.2a due to:
(a) Conversion of some Housing Finance Companies into Non-Banking Financial Companies; and
(b) Valuation effect in case of foreign sources.
4. For detailed notes and data, please refer to Current Statistics Table No: 18(b).
Sources: RBI; SEBI; AIFIs; and RBI staff calculations.

[60] FDI to India is on a net basis (*i.e.*, gross inflows adjusted for repatriation/ disinvestment).

[61] Provisional data on sectoral deployment of bank credit is based on sector-wise and industry-wise bank credit (SIBC) return, which covers 41 select banks accounting for about 95 per cent of total non-food credit extended by all SCBs.

agriculture sector accelerated, and industrial credit growth sustained its momentum aided by an expansion in credit to the large industries. Credit flow to the services sector also strengthened, driven by non-banking financial companies (NBFCs), trade and commercial real estate. Personal loans picked up in June, supported by housing loans and loans against gold jewellery (Chart IV.7).

NBFC credit continued to record double-digit growth (*y-o-y*) across major sectors (except industry) in June 2026.[62] While NBFCs' credit to agriculture expanded at a robust pace, the same moderated in case of industrial credit, largely due to deceleration in credit growth to infrastructure. NBFCs' credit to the services sector accelerated, driven by commercial real estate, trade and transport operators segments. NBFCs' retail loans also grew at a robust pace, propelled by growth in loans against gold jewellery, housing[63], and vehicle loans (Chart IV.8).

Deposit and Lending Rates

During the current easing cycle (February 2025 to June 2026), banks have lowered both weighted average lending rates and weighted average domestic term deposit rates in response to the cumulative 125 basis points (bps) reduction in the policy repo rate.

Chart IV.7: Bank Credit Recorded Robust Growth across Major Sectors in June

(Y-o-y, per cent)



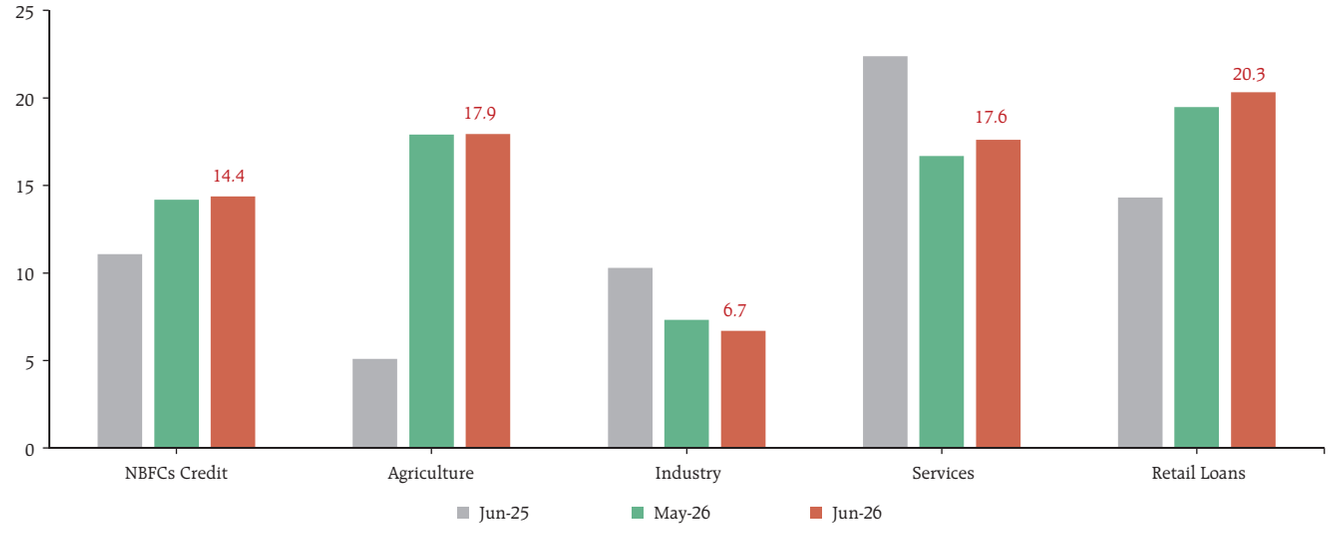
Source: RBI.

[62] Provisional data as reported on the last day of the month. Sectoral credit data of NBFCs are based on a sample of (i) NBFCs in Upper and Middle Layers and (ii) Housing Finance Companies (HFCs), accounting for about 87 per cent of total credit with respect to data published in *Report on Trend and Progress of Banking in India 2024-25*.

[63] Housing loans data also include housing loans from HFCs.

Chart IV.8: Sectoral Deployment of NBFC Credit

(Y-o-y, per cent)



Source: RBI and National Housing Bank.

However, the fresh deposit and lending rates have hardened in the recent months with the rising credit demand (Table IV.3).

Across bank groups, private sector banks recorded stronger pass-through to lending rates than public sector banks, while later exhibited relatively higher transmission to deposit rates during the current easing cycle (Chart IV.9).

The transmission to lending rates, both on fresh and outstanding rupee loans, was broad-based across major sectors (Chart IV.10).

Equity Markets

Indian equity markets gained in July and August, supported by resilient corporate earnings and a rebound in net buying by foreign portfolio investors,

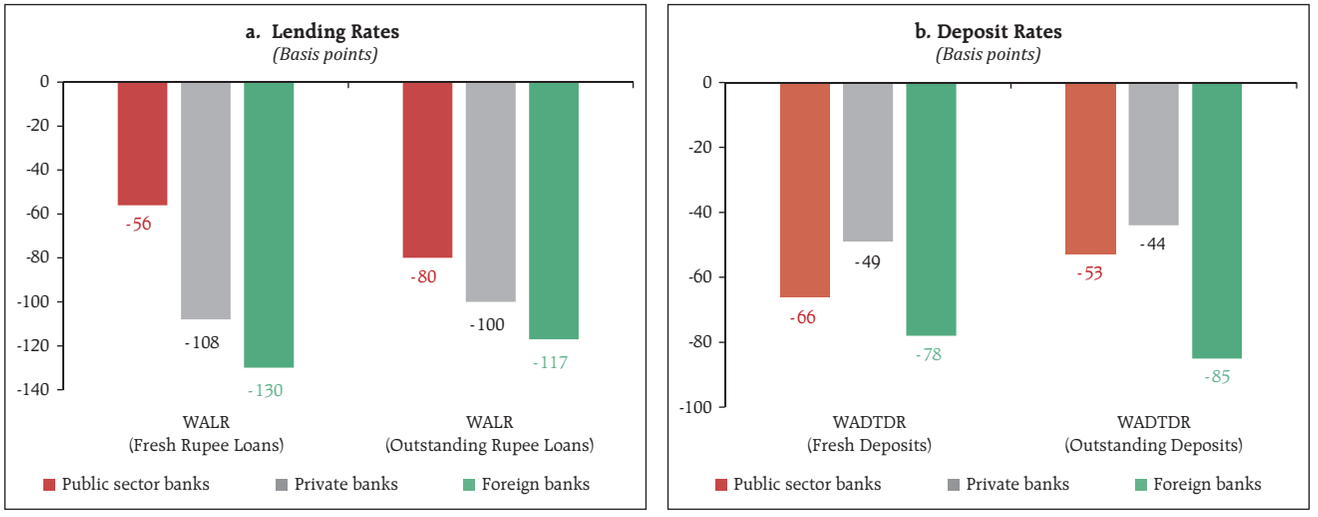
Table IV.3: Transmission to Banks' Deposit and Lending Rates

(Basis points)

Period	Repo Rate	Term Deposit Rates		Lending Rates				
		WADTDR-Fresh Deposits	WADTDR-Outstanding Deposits	EBLR	1-Year MCLR (Median)	WALR - Fresh Rupee Loans		WALR-Outstanding Rupee Loans
						Overall	Interest Rate Effect#	
(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)
Tightening Cycle May 2022 to Jan 2025	250	259	206	250	175	182	191	115
Easing Cycle Feb 2025 to Jun 2026	-125	-63	-51	-125	-50	-80	-79	-91
Monthly								
May-2026	0	4	-2	0	10	1	-2	-1
Jun-2026	0	16	1	0	-15	2	6	-1

#: Calculated at January 2025 weights.
WALR: Weighted average lending rate; WADTDR: Weighted average domestic term deposit rate;
MCLR: Marginal cost of funds-based lending rate; EBLR: External benchmark-based lending rate.
Note: Data on EBLR pertain to 32 domestic banks.
Source: RBI.

Chart IV.9: Transmission across Bank Groups (February 2025 – June 2026)



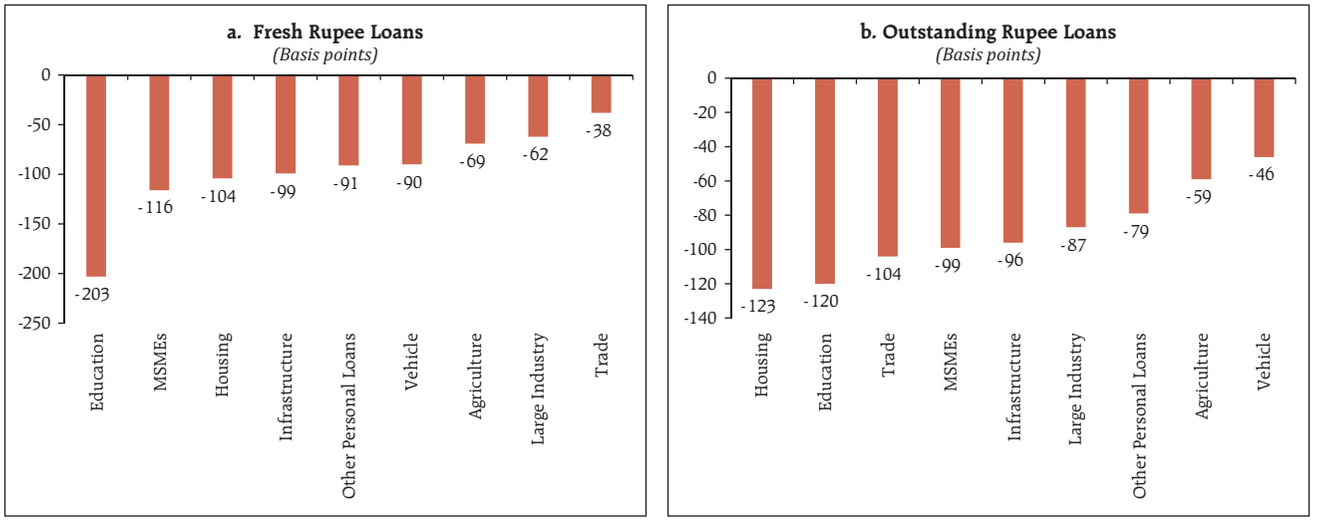
Note: Transmission during February 2025 to June 2026 is calculated by subtracting the weighted average lending and deposit rates of January 2025 from those of June 2026.
Source: RBI.

even as lingering geopolitical uncertainties capped the gains (Chart IV.11).

External Sources of Finance

FDI flows improved in June 2026 from the previous month, supported by higher gross inflows (Chart IV.12a).[64] Singapore, the Netherlands, the US, and Canada accounted for around 74 per cent of the total equity inflows. Manufacturing received the highest share of equity inflows, followed by electricity generation, computer, and communication services.[65] Outward FDI continued to register downward trend

Chart IV.10: Transmission across Select Sectors (February 2025 – June 2026)

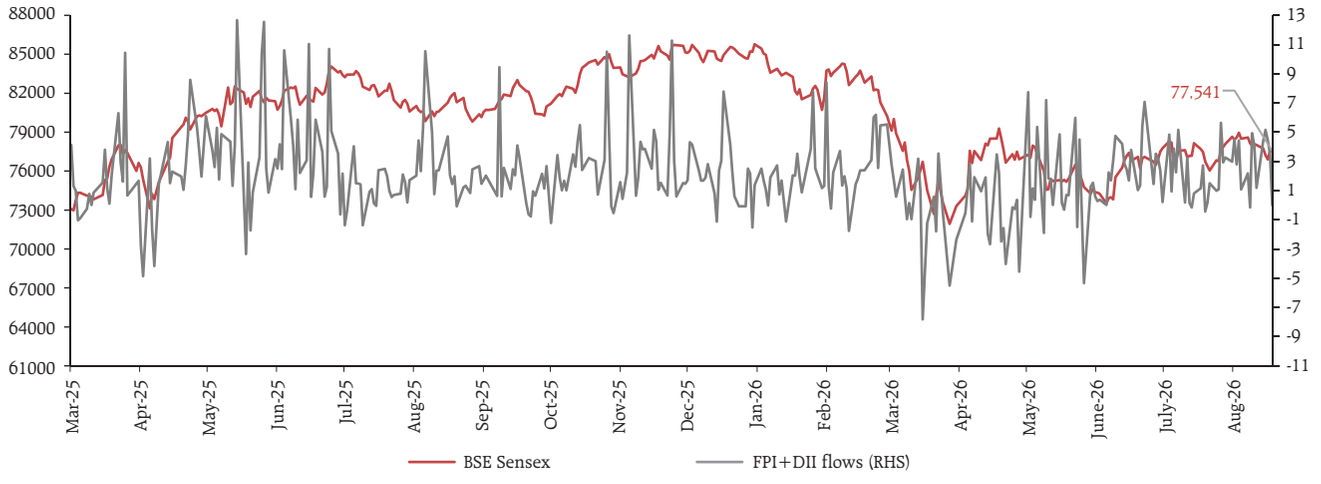


Note: Transmission during February 2025 to June 2026 is calculated by subtracting the weighted average lending rates of January 2025 from those of June 2026.
Source: RBI.

[64] Net FDI stood at US$ 1.3 billion in June 2026 as compared to (-) 0.1 billion in May 2026 and US$ 2.3 billion in June 2025. During Q1:2026-27, net FDI stood at US$ 7.8 billion as compared to US$ 4.8 billion in the corresponding period last year. Similarly, gross inward FDI stood at US$ 30.7 billion during the same period, higher than US$ 26.7 billion a year ago.
[65] These sectors together accounted for 76 percent of the total inflows in June 2026.

Chart IV.11: Domestic Equity Markets Gained in July and August

(Index, left scale; ₹ thousand crore, right scale)

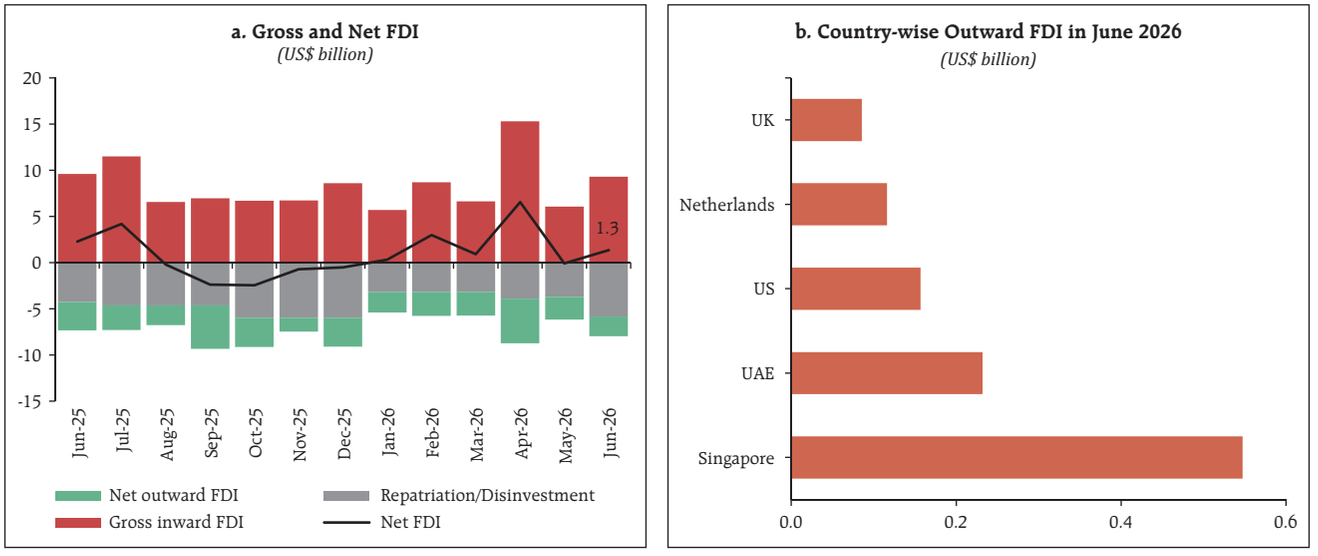


Note: Data is up to August 21, 2026.
DII: Domestic Institutional Investors. FPI: Foreign Portfolio Investors.
Source: Bloomberg.

for the last two months. About 65 per cent of the outward FDI flows were directed to Singapore, the UAE, and the US (Chart IV.12b). The major sectors witnessing outward FDIs were financial, insurance and business services, manufacturing, wholesale/retail trade, restaurants, and hotels – together accounting for 74 per cent of the outward flows.

FPI witnessed sustained net inflows since June 2026. In July, foreign portfolio investors turned net buyers in equity segment, reversing four consecutive months of outflows. In August (till 20th), foreign

Chart IV.12: Foreign Direct Investment Flows



Source: RBI.

portfolio investors pumped in US$ 1.9 billion into the market, largely supported by the equity segment (Chart IV.13).[66]

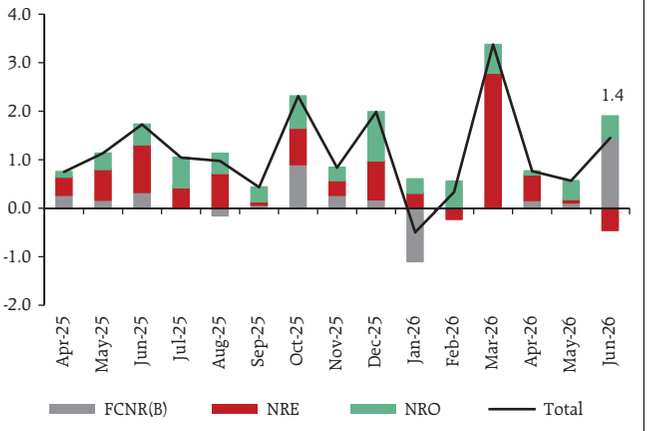
Net inflows under non-resident deposits improved during June 2026 as compared with the previous month, driven by an increase in FCNR(B) deposits on account of recent policy measures to attract foreign capital (Chart IV.14).[67]

External commercial borrowings (ECBs) strengthened during April-June 2026, with both registrations and net inflows being higher than in the previous year[68] (Chart IV.15). Around 27 per cent of the ECBs were mobilised for capital expenditure.

India's foreign exchange reserves remain comfortable to cover for 11.0 months of goods imports (as on August 14) and 94.0 per cent of the external debt outstanding as at end-March 2026 (Chart IV.16).[69]

Chart IV.14: Net Inflows under Non-Resident Deposits

(US$ billion)

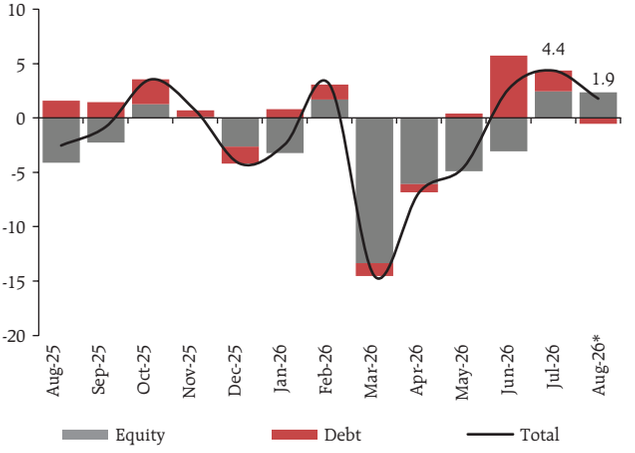


Notes: 1. FCNR(B) - Foreign Currency Non-Resident (Banks) deposit.
2. NRE – Non-Resident (External) Rupee deposits.
3. NRO - Non-Resident Ordinary deposits.

Source: RBI.

Chart IV.13: FPI Inflows Continue in July and August so far

(US$ billion)

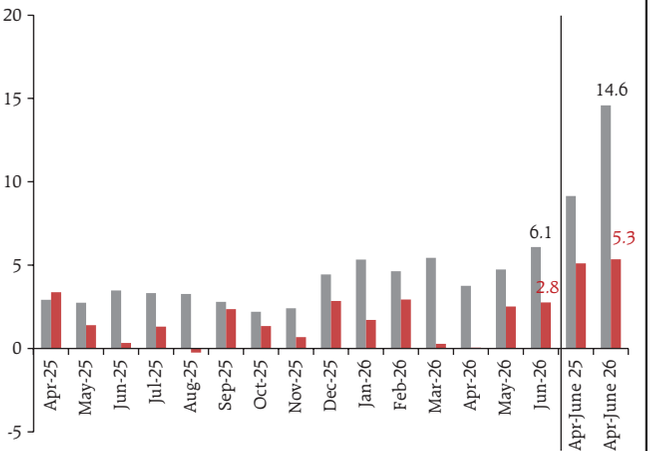


Notes: 1. Debt also includes investments under the hybrid instruments.
2. *: Data up to August 20, 2026.

Source: National Securities Depository Limited (NSDL).

Chart IV.15: External Commercial Borrowings - Registrations and Flows

(US$ billion)



Source: Form ECB, RBI.

[66] During 2026-27 so far (up to August 20, 2026), FPI registered net outflows to the tune of US$ 2.3 billion, largely driven by withdrawals from the equity segment.

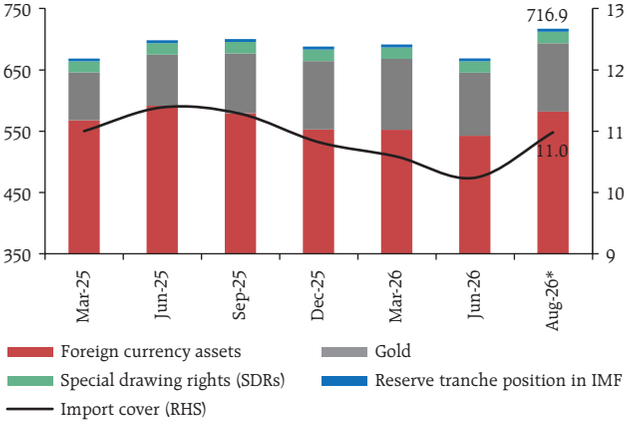
[67] Following the policy measures announced by the Reserve Bank on non-resident deposits and external commercial borrowings (ECBs) on June 05, 2026, there was a surge in FCNR(B) deposit inflows amounting to US$ 65.4 billion during June 8- August 21, 2026. During the period, Overseas Foreign Currency Borrowings (OFCBs) and ECBs recorded inflows of US$4.9 billion and US$2.6 billion, respectively. On August 14, 2026, RBI announced that the swap facility for the FCNR(B) deposits would be available for deposits mobilised till August 31, 2026.

[68] ECB registrations increased to US$ 14.6 billion during Q1:2026-27 from US$ 9.1 billion a year ago, while net inflows increased marginally to US$ 5.3 billion from US$ 5.1 billion during this period. In June, net inflows rose sharply to US$ 2.8 billion from US$ 0.3 billion a year ago and edged up from US$ 2.5 billion in May 2026.

[69] As on August 14, 2026, the import cover for goods and services was 8.7 months.

Chart IV.16: India's Foreign Exchange Reserves Remain Comfortable

(US$ billion, left scale; months, right scale)

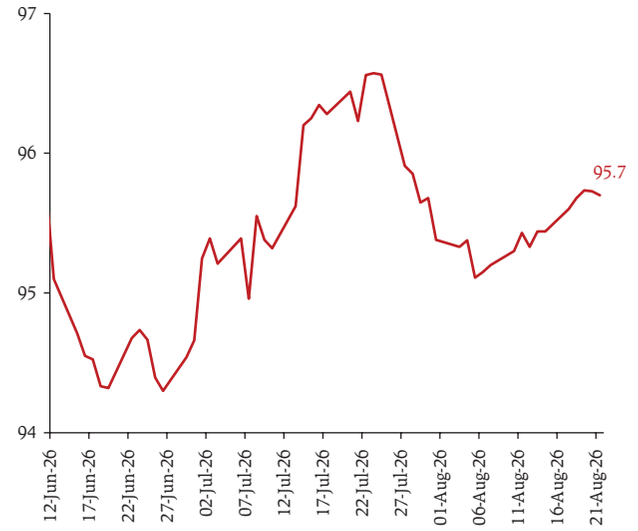


Notes: 1. *: As on August 14, 2026.
2. The import cover data is based on annualised merchandise imports as per the balance of payments statistics.

Source: RBI.

Chart IV.17: INR Depreciated in August

(₹ per US$)



Sources: Refinitiv; and RBI staff calculations.

Foreign Exchange Market

Like other EMEs, the Indian rupee (INR) exhibited a depreciating bias in July owing to rising crude oil prices, driven by West Asia tensions. A brief de-escalation of US-Iran tensions late in July led to a momentary appreciation of the INR (Chart IV.17). In August so far (till 20th), the INR depreciated due to rebound in global crude oil prices.

In real effective terms, the INR appreciated in July driven by higher domestic inflation *vis-à-vis* major trading partners outweighing the depreciation of INR in nominal effective terms (Chart IV.18).

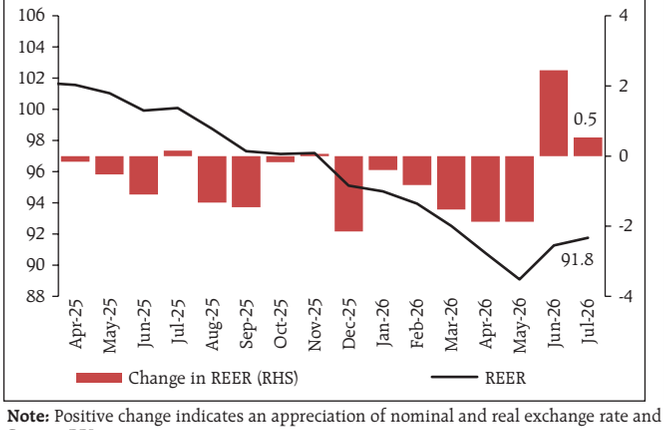
V. Conclusion

The global economic outlook continues to be shaped by geopolitical frictions in West Asia and fresh tariffs by the US. Despite these risks to global

Chart IV.18: Movements in the 40-Currency Real Effective Exchange Rate

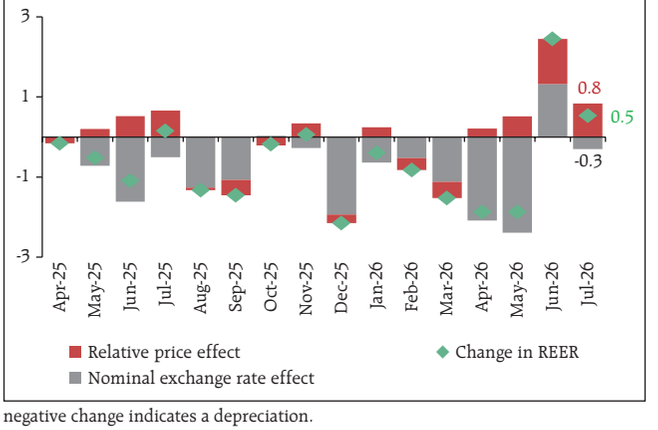
a. Monthly Changes

(Index (2015-16 = 100), left scale; per cent, right scale)



b. Decomposition of Monthly Changes

(Per cent)



Note: Positive change indicates an appreciation of nominal and real exchange rate and negative change indicates a depreciation.
Source: RBI.

trade and the growth-inflation matrix, India's robust macroeconomic fundamentals continue to provide cushion to the domestic economy. The momentum of Q1:2026-27 continued in July with most of the high-frequency indicators reflecting sustained manufacturing and services activity, and double-digit expansion in merchandise exports and imports. The recovery in southwest monsoon in July helped in *kharif* sowing reaching closer to normal acreage, partly mitigating some of the risks to the agriculture sector. While headline CPI inflation edged up above the target, it was primarily on account of supply side pressures. Stable core inflation reaffirmed the lower pass-through of cost pressures. Financial conditions are characterised by high credit growth, comfortable liquidity, and softening G-sec yields supported by rebound in capital inflows.

Annex

Box 1: New Series of the Index of Core Industries: Salient Features

The Office of the Economic Adviser, Ministry of Commerce and Industry has revised the base year of the Index of Core Industries (ICI) from 2011-12 to 2022-23, bringing it in line with the revised GDP, WPI and IIP series with better reflection of the evolving structure of the industrial economy. The revised series expands the coverage from eight to nine core industries with the inclusion of iron ore, reflecting its growing importance as a key input for steel production and infrastructure.

The revision also incorporates methodological changes. Coverage of coal has been restricted to raw coal, with washed coal and coal middlings excluded to avoid double counting. For steel, gross production has replaced net production to provide a more comprehensive measure of output. Industry-wise weights have also been updated in line with the revised IIP structure. Consequently, the combined weight of the nine core industries in the revised IIP has declined to 32.88 per cent from 40.27 per cent in the previous series (Table 1).

The revised weighting structure has changed the relative importance of individual sectors, with the weight of electricity rising sharply to 30.9 per cent from 19.85 per cent, while the weights of refinery products, coal, crude oil, natural gas, steel and cement declined.

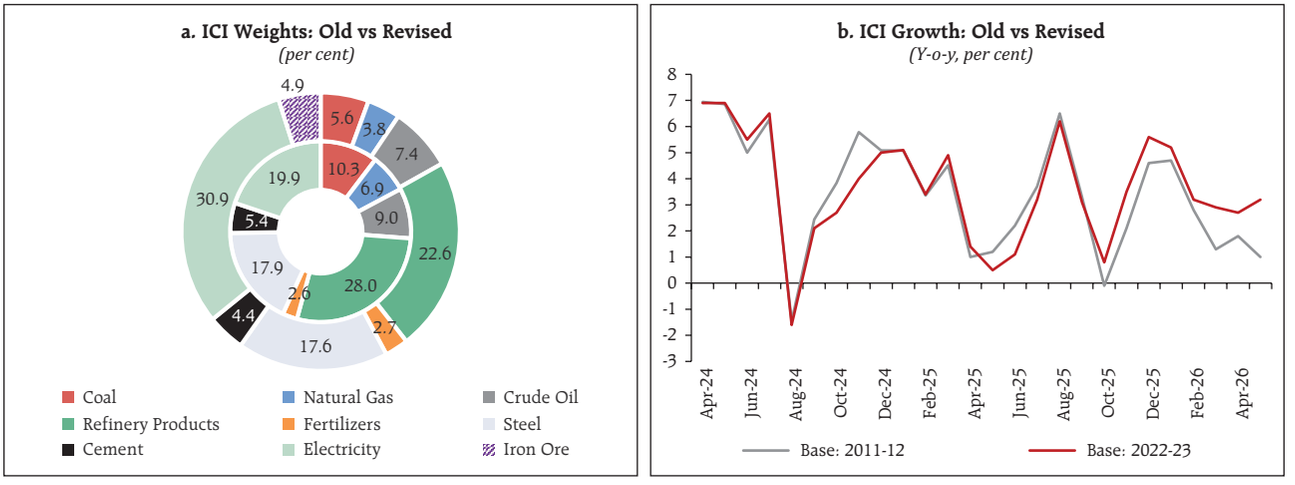
Table 1: Key Changes in the Revised ICI Series

Feature	Old Series	Revised Series
Base year	2011-12	2022-23
Number of core industries	8	9
New industry	—	Iron ore
Coal coverage	Raw coal + washed coal + coal middlings	Raw coal only
Steel production	Net production	Gross production
Combined weight in IIP (per cent)	40.27	32.88
Electricity weight in ICI (per cent)	19.85	30.90

The higher weight of electricity increases the influence of power generation in the headline ICI (Chart 1a).

The overall growth trajectory and major turning points remain broadly similar across the two series, indicating continuity in underlying industrial trends. The revised series, however, records somewhat stronger growth in recent months, reflecting the inclusion of iron ore, which has recorded sustained double-digit growth. The divergence is also attributed to higher weight of electricity, which amplifies the impact of power generation on the index (Chart 1b).

Chart 1: Revision in ICI Weights and Growth Trends



Note: Inner ring = 2011-12; Outer ring = 2022-23 base year (Chart 1a).
Source: Office of the Economic Adviser, Ministry of Commerce and Industry.